



Accountancy and Financial Management

Block-1_Unit-1

Accounting and its Functions

Topics To Be Covered

- Introduction
- The Scope and Emerging Role of Accounting
- Accounting as an Information System
- The Role and Activities of an Accountant
- Accounting Personnel
- The Nature of the Accounting Function
- The Organisation for Accounting and Finance
- Important Topics
- Summary

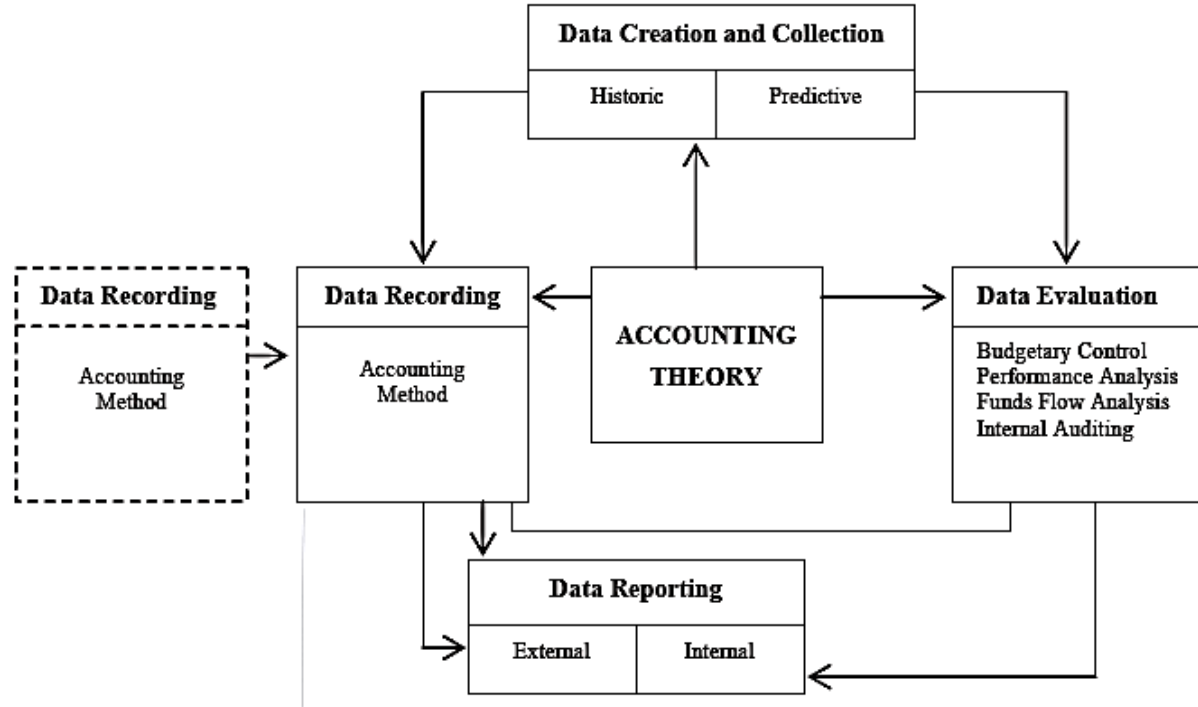


Introduction

According to one commonly accepted definition, “Accounting is the art of recording, classifying and summarizing in a significant manner and in terms of money, transactions and events which are, in part at least, of financial character and interpreting the results thereof”.

Another definition which is less restrictive interprets accounting as “the process of identifying, measuring, and communicating economic information to permit informed judgements and decisions by the users of information”.

The Scope of Accounting



The Scope of Accounting

- Data evaluation is regarded as the most important activity in accounting these days.
- The analytical and interpretative work of accounting may be for internal or external uses and may range from snap answers to elaborate reports produced by extensive research.
- Data reporting consists of two parts-external and internal. External reporting refers to the communication of financial information about the business to outside parties.

The Emerging Role of Accounting

- **Forensic Accounting**



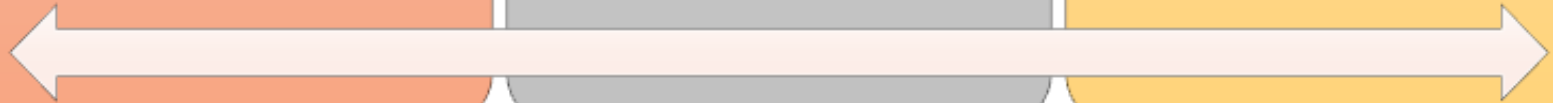
Investigation



Reporting



Litigation



The Emerging Role of Accounting

- **Carbon Accounting**

- Carbon accounting is the practice of making scientifically robust and verifiable measurements of GHG emissions.
- Accounting for the carbon within forest ecosystems and changes in carbon stocks resulting from human activities is a necessary step towards the better representation of forests in climate change policy at regional, national and global scales.

The Emerging Role of Accounting

- **Stewardship Accounting**

- These stewards rendered an account of their stewardship to their owners periodically.
- This notion lies at the root of financial reporting even today which essentially involves the orderly recording of business transactions, commonly known as ‘book-keeping’.

The Emerging Role of Accounting

- **Financial Accounting**

- Financial accounting dates from the development of large-scale business and the advent of the Joint Stock Company.
- This form of business which enables the public to participate in providing capital in return for shares in the assets and the profits of the company.

The Emerging Role of Accounting

- **Cost Accounting**

- Cost accounting is concerned with the application of costing principles, methods and techniques to ascertain the costs with a view to controlling them, and assessing the profitability and efficiency of the enterprise.

- **Management Accounting**

- The genesis of modern management, with its emphasis on detailed information on decision-making, provided a tremendous impetus to the development of management accounting.

The Emerging Role of Accounting

- **Social Responsibility Accounting**
 - Social responsibility accounting widens the scope of accounting by considering the social effects of business decisions, in addition to the economic effects.
- **Human Resource Accounting**
 - It is concerned with “the process of identifying and measuring data about human resources and communicating this information to interested parties”.

The Emerging Role of Accounting

- **Inflation Accounting**

- Inflation Accounting is concerned with the adjustment in the value of assets and of profit in the light of changes in the price level.
- In a way, it is concerned with the overcoming of limitations that arise in financial statements on account of the cost assumption and the assumption of stable monetary unit.

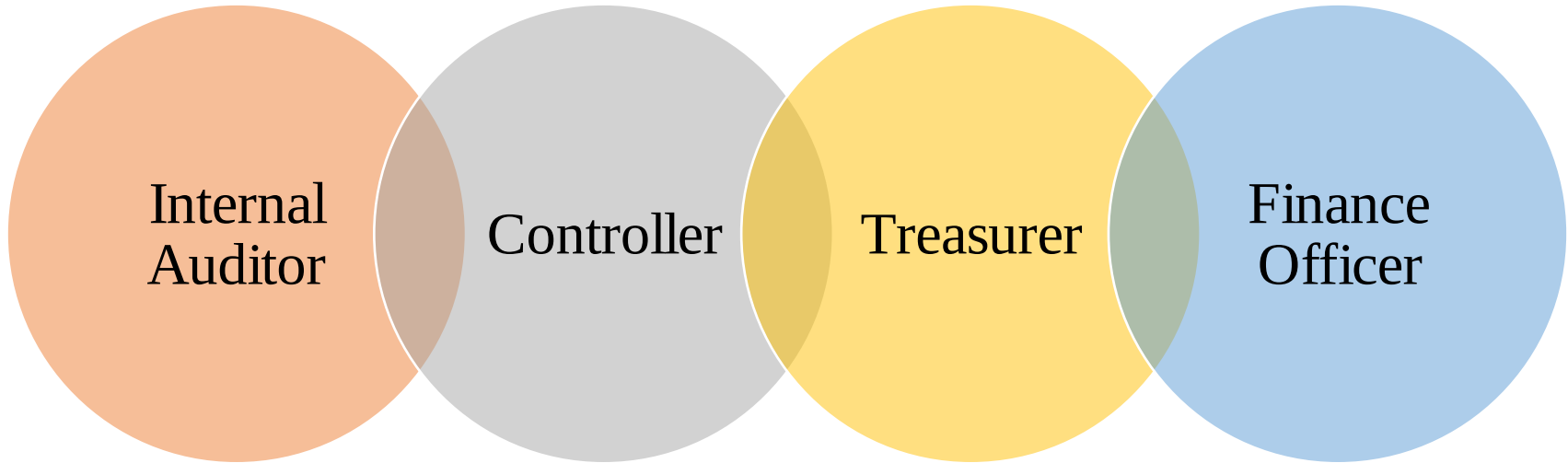
Accounting as an Information System

- The goal of the system is to provide information which meets the needs of its users.
- It is the output requirements that determine the type of data that would be selected as inputs for processing into information output.
- There are several groups of people who have a stake in a business organisation-managers, shareholders, creditors, employees, customers, etc.
- Additionally, the community at large has economic and social interests in the activities of such organisations.

The Role and Activities of an Accountant

- An accountant is one who is engaged in accounts keeping
- An accountant is a functionary who aids control
- An accountant keeps the conscience of an organisation
- An accountant is a fiscal adviser
- An accountant produces an income statement and a balance sheet
- An accountant verifies, authenticates, and certifies the accounts of an entity
- An accountant provides necessary information for various managerial decisions

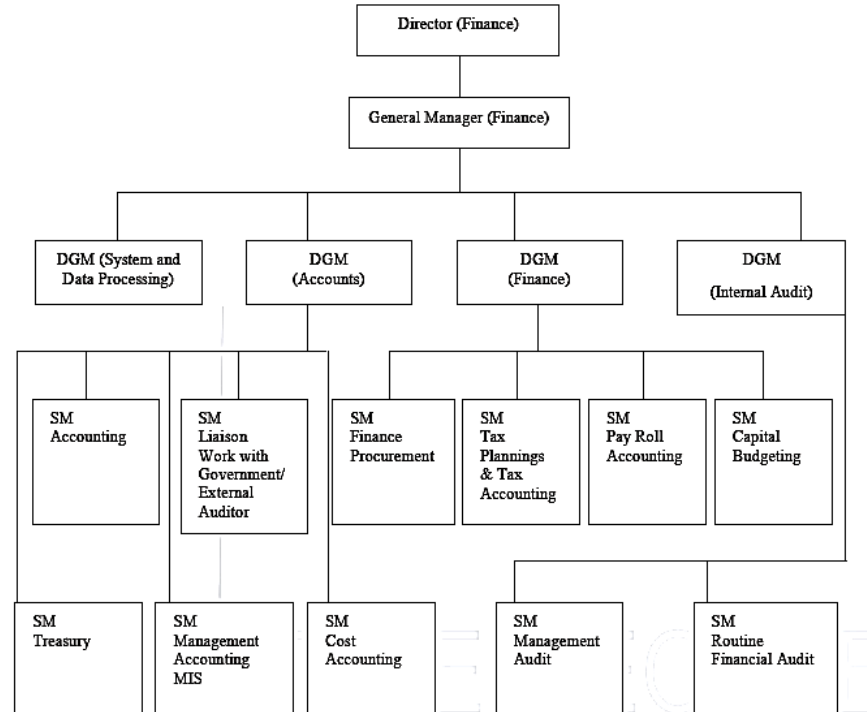
Accounting Personnel



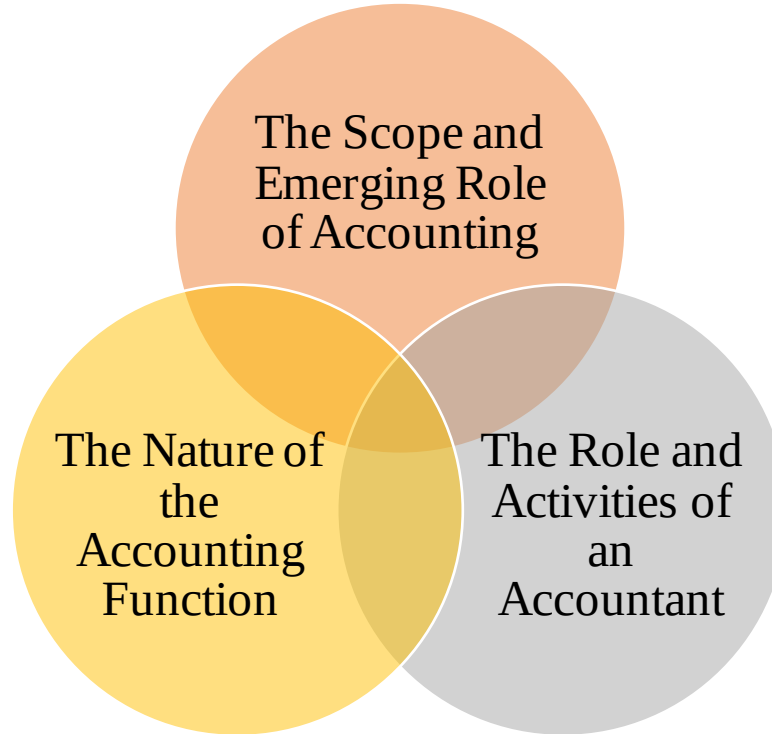
The Nature of the Accounting Function

- Accounting is a service function. The chief accounting executive holds a staff position except within his own department where he exerts authority.
- This is in contradiction to the roles played by production or marketing executives who hold line authority. The role of the accountant is advisory in character.
- There are two facets to the role of the accountant. For top managers, s/he works as a watchdog, and for middle and lower level managers s/he acts as 'helper'.

The Organisation for Accounting and Finance



Important Topics



Summary



Accounting is an important service activity in business and is concerned with collecting, recording, evaluating and communicating the results of past events.

Accounting can be perceived as an information system which has its input, processing methods, and outputs.

The top accounting personnel are designated by various nomenclature. The practice in this regard differs in different companies.

Each of the sub-functions is further sub-divided into activities which are the responsibility of a subordinate manager.

*Thank
You*



Accountancy and Financial Management

Block-1_Unit-2

Accounting Concepts and Standards

Topics To Be Covered

- Introduction
- Objectives
- Accounting Structure
- Accounting Concepts
- Accounting Standards
- The Changing Nature of Generally Accepted Accounting Principles
- International Financial Reporting Standards (IFRS)
- Important Topics
- Summary

Introduction

- All undertaken financial tasks become easy when they are performed with a defined set of rules or parameters. This framework of rules guides us to perform our activities, effectively.
- There arises a challenge that different nations follow different accounting standards and there is a lack of harmony among them.
- It makes the accounting terms and reports easily understandable and comparable across international boundaries.

Accounting Structure

- Accounting is a very specified and objectivity laid subject and it works under a defined set of guidelines, policies, rules, agreements, covenants and conventions.
- It serves to be the essence as a knowledge base, with logically and precisely defined acceptable rules, practices and procedures contribute towards the creation of a framework for the professionals where they can contribute with their experiential learning and knowledge in this discipline.

Accounting Structure

- The American Institute of Certified Public Accountants (AICPA) has also worked on the varied aspects pertaining to the financial accounting theory and generally accepted accounting principles, and they say, that the “Financial statements are the product of process in which a big data pertaining to different perspectives of business actions are accumulated, analysed, and reported.”
- GAAP though is principle in nature but it involves a defined and flexible framework of conventions, rules and procedures which are important to identify the standard or acceptable account practices.

Accounting Structure

- GAAP though is principle in nature but it involves a defined and flexible framework of conventions, rules and procedures which are important to identify the standard or acceptable account practices.
- “Accounting principles are a work of human creation and are accepted for their usefulness. The general acceptance of an accounting principle (or for that matter, any principle) usually depends on how well it meets the three criteria of **relevance**, **objectivity**, and **feasibility**.

Accounting Concepts

- **Concepts to be observed at the Recording Stage**

Business Entity Concept

Money Measurement Concept

Objective Evidence Concept

Dual Aspect Concept

Cost Concept

Accrual Concept

Accounting Concepts

- **Concepts to be observed at the Reporting Stage**

Continuity Concept or Going Concern Concept

Matching Concept

Full Disclosure Concept

Accounting Period Concept

Concept of Conservatism

Materiality Concept

Consistency Concept

Accounting Standards

- **Need for Accounting Standards**

- Comparison between two firms is possible if both of them maintain the same principle, otherwise proper comparison is not possible.
- The firms are not allowed to maintain and present their accounts according to their own will or choice or cannot prepare report of financial statements for various interested groups.
- The Accounting Standards recognise the principle of equity applicable for different users of accounting information, viz. creditors, investors, shareholders etc.
- Accounting standards have been presented in order to maintain fairness, consistency and transparency in accounting practice which will satisfy the users of accounting.

Accounting Standards

- **Benefits of Accounting Standards**

Standardized Accounting

Problem Identification

Private Regulation

International Accounting
Standard



Accounting Standards

- **Indian Accounting Standards scenario**
 - Our nation is one of the leading developing nations of the world and requires to match with the international standard accounting practices being followed across the world.
 - Another challenge is the wide National demographic and geographic diaspora which further increases the need for a harmonised accounting policies and practices across the country.

Accounting Standards

- **Indian Accounting Standards Scenario**

- Our nation is one of the leading developing nations of the world and requires to match with the international standard accounting practices being followed across the world.
- It is recommended to you that you study these standards and deliberate it to find out the qualitative aspect of these accounting standards.

The Changing Nature of Generally Accepted Accounting Principles

- It is the responsibility of the accounting professional to contribute towards the development of internationally acclaimed standards.
- There are professional accounting bodies like American Institute of Certified Public Accountants (AICPA) and Institute of Chartered Accountants of India (ICAI) who have immensely contributed in framing the “Generally Accepted Accounting Principles”.
- This led to the formulation of widely accepted accounting principles being followed by various stock exchanges and other regulatory agencies like the Securities and Exchange Board of India (SEBI) who have laid down rules for disclosure and the extent of accounting information.

International Financial Reporting Standards (IFRS)

- IFRS are designed to serve as a common global language of business affairs so that accounts of various companies are understandable and comparable across international boundaries.
- They are a set of standards formulated by International Accounting Standard Board (IASB) defining the guidelines for the treatment to a financial transaction and reporting of event in the accounting statements.

International Financial Reporting Standards (IFRS)

- **Need for Convergence of IFRS**

- As the world is going global on a massive scale, the need for convergence seems all the way more important.
- The ultimate goal of convergence is to have common acceptable standards.
- The ICAI and IASB then decided to work together, collaborate and develop quality and comparable accounting standards instead of fully adopting the IFRS standards completely.
- The ICAI decided to adopt IFRS and set the target period as April 2011 but delayed implementation due to procedural and operational reasons.

International Financial Reporting Standards (IFRS)

- **The need for IFRS convergence in India is necessary due to the following reasons:**
 - To ensure a general understanding of best accounting practices.
 - To make the financial statements reliable, comparable & transparent.
 - To standardize financial accounting & reporting across the globe.
 - To promote foreign Investment & spur Industrial growth.
 - To eliminate information barriers for users of financial statements.

International Financial Reporting Standards (IFRS)

- **Benefits**

- Easy access to global financial capital markets
- Cross Border trade & Investments
- Eliminate differential reporting
- Improved quality & comparability of financial reporting
- Accounting Profession



International Financial Reporting Standards (IFRS)

- It also suffers from many challenges as follows:
 - Training & Awareness
 - Changes in Indian regulation
 - Fair Value system of measurement
 - IT systems
 - Small & Medium businesses



International Financial Reporting Standards (IFRS)

- **Benefits and Challenges of IFRS**

- Minimizes diversity in accounting practices.
- Improves the quality and transparency of financial reporting process.
- Increase the trust and reliance placed by investors, analysts and stakeholders in a company's financial statements.
- Reduces the cost of conversion of financial statements for local companies which make investments, raising capital and listing abroad.
- Provides a drive to cross border acquisition and partnership, alliance with foreign entities as well as economic growth expands globally.

Important Topics

Accounting Concepts

Accounting Standards

International Financial
Reporting Standards (IFRS)

Summary

Accounting is a fast emerging discipline and its development at the international level also, has generated a lot of interest towards it.

Various initiatives for a coherent approach across the countries have been endeavoured upon, underlining the need for the accounting subject to support the international businesses.

Globally, the standardization of the accounting practices is well recognised with many acclaimed institutions and professional entities are engaged in standardizing the accounting practices as a unified movement focussed to bring international consensus.

IFRS are designed to serve as a common global language of business affairs so that accounts of various companies are understandable and comparable across international boundaries.

*Thank
You*



Accountancy and Financial Management

Block-1_Unit-3

Basic Accounting Process: Preparation of Journal, Ledger and Trial Balance

Topics To Be Covered

- Introduction
- Accounting Equation
- Classification of Accounts
- Definitions of Journal and Ledger
- Trial Balance
- Objectives of Preparing Trial Balance
- The Accounting Cycle
- Important Topics
- Summary

Introduction

The Double Entry System was developed in the 15th century in Italy by Luca Pocioli. Every transaction has two aspects and according to this system, both the aspects are recorded.

For example, if a business requires something then either it must have been given by someone or it must have been acquired by giving up something. On purchase of furniture, either the cash balance will be reduced, or a liability to the supplier will arise. This has been made clear already.

The Double Entry System is so named since it records both the aspects of a transaction. This system has proved to be systematic, and has been found of great use for recording the financial affairs for all institutions requiring the use of money.

Accounting Equation

- Accounting equation explains the equal relationship between total claims and the total assets of the firm.
- The accounting equation states that a company's total assets are equal to the sum of its liabilities and its shareholders' equity.

$$\text{Assets} = \text{Total Claims}$$

$$\text{Assets} = \text{Liabilities} + \text{Capital}$$

Accounting Equation

- The procedure for large number is followed for a form, which is called the T form. In this form, the two sides are put together.
- The left-hand side is called the Debit-side and the right-hand side is called the Credit-side. It is called an account.
- When in an account a record is made on the debit, or left hand side, one says the one has debited that account; similarly to record an amount on the right side is to credit it.

Dr.

Date	Particulars	Ref.*	Amount Rs.	Date	Particulars	Ref.*	Amount Rs.
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Cr.

Accounting Equation

- **To put the entries in ‘T’ form account, we have to follow some standard rules of debit and credit:**
 - When there is an increase in the amount of assets, its account is debited; and when there is a decrease in the amount of an asset, its account is credited.
 - When there is an increase in the owner’s capital; the capital account will be credited, and when there is a decrease in owner’s capital, it will be debited.
 - Profit leads to an increase in the capital, and a loss leads to reduction.

Accounting Equation

- **These rules can be summaries as below:**

Increase in assets are debits; decrease in credits

Increase in liabilities are credits; decrease in debits

Increase in owner's capital are credits; decrease in debits

Increase in expenses/losses are debits; decrease in credits

Increase in revenue/income are credits; decrease in debits

Classification of Accounts

- **As per the accounting equation, the broad categories of the account are:**
 - **Assets:** Includes all the resources which the firm has.
 - **Liabilities:** Amounts that the firm owes to outsiders.
 - **Capital:** Amounts that the firm owes to the owners and proprietor who have invested in the firm.
 - **Expenses:** Amounts that have been spent, or even lost, in carrying on operations.
 - **Incomes:** Amounts earned by the firm.

Classification of Accounts

- **Accounts may be classified in another manner:**

Personal Account

- Personal accounts relate to personal, debtors, or creditors

Real Account

- Accounts which relate to assets of the firm

Nominal Account

- Accounts, which related to expenses, losses, gains, revenue etc.

Classification of Accounts

- On the basis of the above, three classifications of accounts, three basic rules about recording transactions are:

Personal Account

- Debit the receiver and credit the giver

Real Account

- Debit what comes in and credit what goes out

Nominal Account

- Debit all expenses/losses and credit all income/gains

Definitions of Journal and Ledger

- **Journal**

- Transactions are first entered in this book to show which account should be debited, and which should be credited.
- Journal is also called primary book, as it is a book of first entry. Transactions are recorded in it in chronological order.

- **Ledger**

- Accounts are prepared on the basis of entries made in the journal. The book that contains the accounts is called a 'ledger'.
- A ledger is also called secondary book, as the entries in the ledger are made subsequent to the journal.

Definitions of Journal and Ledger

- **The Journalizing Process**

- Transactions are either written as they occur in the various documents, or papers, are filed, in the order in which transactions occur (chronological).
- On the basis of these records, first, one writes out which accounts are to be credited, and which accounts are to be debited.

JOURNAL

Date (1)	Particulars (2)	L.F. (3)	Dr. Amount (4)	Cr. Amount (5)

Definitions of Journal and Ledger

- In the first column, the date of the transaction is entered. The year is written at the top, then the month and in the narrow part of the column the date is entered.
- In the second column, the name of the account to be debited is written first, and it is written close to the line marked (A).
- In the third column, the number of the page in the ledger on which the account is written up is entered.
- In the fourth column, the amounts to be debited to the various accounts concerned are entered. The amount is written in the extreme right hand side of the column.
- In the fifth column, the amount to be credited to various accounts is entered in the extreme right hand side of the column.

Definitions of Journal and Ledger

- Mohan's transactions for the month of April 05 are given below. Journalize them.

2021		Rs.
April 1	Mohan started business with cash	5000
„ 2	Deposit in the bank	500
„ 3	Furniture purchased for cash	200
„ 5	Purchased goods for cash	400
„ 8	Purchased goods from M/s Ram Narain on credit	1000
„ 16	Goods sold to M/s Ram & Co. for cash	600
„ 24	Goods sold on credit to Ramesh	300
„ 28	Received cash from Ramesh	300
„ 30	Paid Rent	100
„ 30	Paid Salary	200

Definitions of Journal and Ledger

Date	Particulars	L.F.	Dr. Amount	Cr. Amount
2021 April 1	Cash Account Dr. To Capital Account (Being the amount invested by Mohan in the business as capital)		5000	5000
„ 2	Bank Account Dr. To Cash Account (Being the amount paid into bank)		500	500
„ 3	Furniture Account Dr. To Cash Account (Being furniture purchased for cash)		200	200

„ 5	Purchases Account Dr. To Cash Account (Being goods purchased for cash)	400	400
„ 8	Purchases Account Dr. To M/s Ram Narain (Being goods purchased for cash)	1000	1000
„ 16	Cash Account Dr. To Sales Account (Being goods sold for cash)	600	600
„ 24	Ramesh Dr. To Sales Account (Being goods sold to Ramesh on credit)	300	300
„ 28	Cash Account Dr. To Ramesh (Being cash received from Ramesh)	300	300
„ 30	*Rent Account Dr. *Salary Account Dr. To Cash Account (Being Rent and salary paid)	100 200	300

Definitions of Journal and Ledger

- **Ledger Posting**

- The ledger provides the necessary information regarding various accounts.
- The personal account in the ledger shows how much money the firm owes to debtors, and how much money creditors owe to the firm.
- The real account shows the value of asset and the value of stock. Nominal accounts reflect the sources of income, and amount spent on various items.

Definitions of Journal and Ledger

- **Balancing an Account**

- At the end of the each month, or year, or any particular day it may be necessary to ascertain the balance in an account.
- The difference between the total of two sides is said to be balancing figure.
- Balancing of an account is to total both debit and credit sides of an account and putting the difference on that side which is shorter.

Trial Balance

A statement which is prepared to show the debit balances and credit balances separately for each account is known as the Trial Balance.

It is prepared after posting the accounts in the ledger, and the balance of each account has been found.

It is prepared by listing each and every account, and entering their balances into separate columns of the debit and credit.

The totals of the debit and credit columns of a trial balance must be equal. An equality indicates that the trial balance does not contain an arithmetical error.

Trial Balance

- **Errors which are Undetectable by a Trial Balance**

Error of complete omission

Error of original entry

Error of reversal

Error of Principle

Error of Commission

Objectives of Preparing Trial Balance

- The trial balance enables one to establish whether the posting and other accounting processes have been carried out without committing arithmetical errors.
- Financial statements are normally prepared on the basis of agreed trial balance, otherwise the work may be cumbersome.
- The trial balance serves as a summary of what is contained in the ledger.
- Trial balance helps in locating errors in book-keeping work.

TRIAL BALANCE

As at.....

S.No.	Name of Account	L.F.	Dr. Amount (Total /Balance)	Cr. Amount (Total /Balance)

Objectives of Preparing Trial Balance

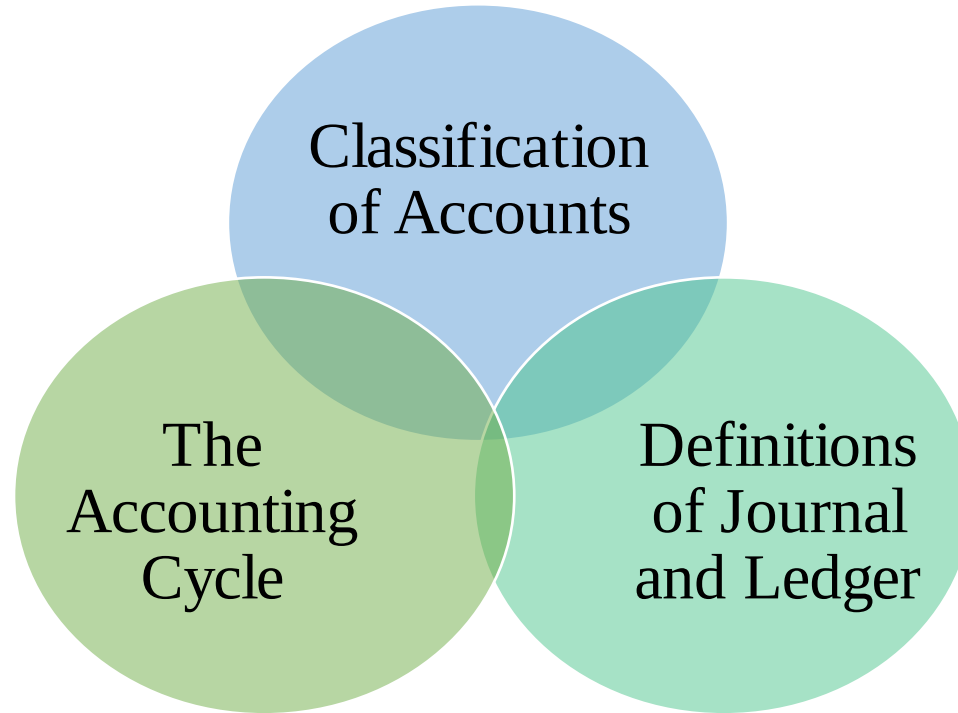
- **The Limitations of Trial Balance**

- The transactions have not been entered at all in the journal.
- An incorrect amount has been written in both column of the journal.
- An incorrect account has been mentioned in the journal.
- An entry has not been completely posted in the ledger.
- Entry is posted twice in the ledger.

The Accounting Cycle

- The accounting cycle is a process of identifying, analyzing, and recording the accounting transactions of a company.
 - Financial transactions occur
 - Those transactions are noted in the appropriate financial journal
 - The transactions are then posted to the account in the general ledger
 - At the end of the accounting period, you run a trial balance
 - Find the cause of the imbalance and correcting it
 - Adjustment entries must be posted to accounts for accruals and deferrals
 - At the end of the period, the books are closed out and new revenue and expense accounts created with zero balances

Important Topics



Summary

Double entry accounting system is a scientific system for recording transactions in which each transaction has its two effects debit and credit.

Further, the accounts are classified by real and nominal account.

Trial balance is prepared just to check the arithmetical accuracy of all the ledger accounts.

As per the accounting equation, transactions are journalized on the basis of five elements i.e. assets, liabilities, capital, expenses and revenue.

*Thank
You*



Accountancy and Financial Management

Block-2_Unit-4

Preparation and Analysis of Final Accounts

Topics To Be Covered

- Introduction
- Need of Accounting Information
- Trading Account
- Profit and Loss Account
- Balance Sheet
- Constructing a Balance Sheet
- Classification of Balance Sheet's Items
- Adjustment Entries
- Forensic Accounting
- Important Topics
- Summary

Introduction

- Any stakeholder wants to associate with the business firm as a supplier, financier, manager, investor needs information to know the financial strength and profitability for planning, controlling and organizing activities of the business.
- Accounting is a systematic record of the business transactions, events leading to a presentation of a complete financial picture for a specific period.
- Accounting is mainly concerned with the preparation of three statements known as Income Statement/Profit & Loss Account, Balance –sheet and Cash Flow Statement.

Introduction

- Accounting involves the following steps namely:

Collecting data



Recording



Classifying



Summarising



Analysing



Reporting information

Need of Accounting Information

Accounting plays a vital role in running a business because it helps you in tracking income and expenditures, statutory compliance, and provide significant information to investors, management, and government which can be used in making business decisions.

There are two categories of people who are interested in a business i.e., Internal and External.

Need of Accounting Information

- Internal Users are those who manage and operate the business, including top, medium, and lower-level management.
- External Users - Investors, creditors, banks, customers, government agencies, and everyone else who isn't an internal user.
- **The necessary information is supplied to the external users through the following statements -**
 - Information about profit or loss of the business through the preparing of Profit & Loss Account/ Income Statement
 - Information about financial position through the preparing of Balance-sheet

Trading Account

- Trading account is the first step in the process of preparing final accounts.
- It helps in finding out the gross profit or gross loss during an accounting year.
- It is normally prepared by a merchandising concern which purchases and sells the goods during a particular period.
- The trading account shows the result of buying and selling goods.

Trading Account

• Components of Trading Account

Opening/
Closing
Stock

- It is the carried stock in hand which we bring into the account for beginning a new accounting/ financial year.

Net
Purchases

- Business requires continuous purchase and sales of various products and services. Purchase of raw material and selling of finished goods remains key purchase areas.

Trading Account

• Components of Trading Account

Direct Expenses

- These are the cumulative including the amounts spent towards the expenses made to bring the goods at the production site till they are consumed to become a saleable product. This may include the transportation expenses etc. towards this purpose.

Net Sales

- Irrespective of the nature of sales transaction, whether it is on cash or credit, the sales returns require to be deducted from the gross sales to arrive at the Net sales figure. It is also to be understood here that this sales head pertains to the sales transactions of the finished goods and not arising out of sale of any asset of the company.

Trading Account

Trading Account

(For the year Ended.....)

Dr.

Cr.

Particulars	Amount	Particulars	Amount
To Opening Stock		By Net Sales	
Raw Material -----		Sales -----	
Work In Progress -----		Sales Returns-----	
Finished Goods -----			
To Purchase		By Closing Stock	
Purchase -----		Raw Material	
Purchase Return -----		Work In Progress-----	
		Finished Goods -----	
To Direct Expenses			
To Gross Profit			
(Transfer to profit and loss A/C)			

Profit and Loss Account

- Profit & Loss account /Income Statement presents the operational results of a business firm for a particular period.
- This account shows the summary of changes in the owner's capital/equity/claim resulting from the operations of a firm in the given period of time.
- In this account revenues of a particular period are matched with the expenses of the same period.
- The excess of revenues over the expenditures is termed as a net profit and excess of expenditures over the revenues is termed as net loss.

Profit and Loss Account

- **Recording entries in a Profit and Loss Account**

- The profit & Loss account is prepared in two sections – Trading account and Profit & Loss account.
- The trading account shows the gross profit or loss made by a firm on selling and purchasing of goods.
- This account does not include the other operating expenses incurred by a firm during the course of operating of a firm.
- These items related to the operating expenses are appeared in the second section of the account i.e. profit & loss account.

Profit and Loss Account

- **Enlisted entities be debited in the P&L A/c**

Administrative Expenses

Sales and Distribution Expenses

Financial Expenses

Asset Depreciation

Other Expenses

Taxes

Profit and Loss Account

- **The following items are credited in the Profit and Loss Account (reported gains and receipts) such as:**
 - Dividend, Cash Discount, Interest, Rent, Selling Fixed Assets, Apprentice Premium etc.



Particulars	Amount	Particular	Amount
To Gross loss b/d (In case of gross loss)		By Gross profit b/d (In case of gross loss)	
To office rent, rates, and taxes		By Discount received	
To salaries		By Commission receive	
To Telephone charges		By Bank interest	
To Insurance		By Rent received	
To Audit fees		By Bad debts recovered	
To Legal charges		By Profit on sale of machinery	
To Electricity charges		By Profit on sale of investments	
To Maintenance expenses		To Depreciation	
To Repairs and renewals		To Salaries	
		To Advertisement	
		To Carriage outward	
		To Bad debts	
		To Provision for bad debts	
		To Loss on sale of machinery	
		To Loss on sale of investments	
		To Loss by fire	
		To Net Profit (Transfer to capital a/c)	
			By Net Loss (Transferred to Capital A/c)

Balance Sheet

After preparing the Profit & Loss account which provides the information related to the operational performance in terms of net profit or net loss of the firm for a particular period, now a firm wants to know the financial position of the firm as on a particular date so therefore, every business firm also prepare another financial statement known as a Balance-sheet presents the details of all assets and liabilities.

Constructing a Balance Sheet

Liabilities	NTR	Assets	INR
Current Liabilities Creditors Bills Payable Bank Overdraft Outstanding Expenses Income Received in Advance Fixed Liabilities Loan Mortgage Capital		Fixed Assets Furniture and Fixtures Plant Machinery Land Goodwill Current Assets Cash in Hand Cash at Bank Stock-in-Trade Debtors Bills Receivable Prepaid Expenses	

Constructing a Balance Sheet

- **Accounting Concepts to Evaluate a Balance Sheet**
 - Of the various accounting rules, concepts and postulates studied would serve to be an enabler in making a Balance Sheet. The **Dual Aspect Principle** stands much important in this direction as it treats each accounting transaction having dual effects so placed both at the debit & credit columns. This makes it stand equated to the concept of **Equality of Assets to Liabilities and Owner's Equity**.
 - It is important to note that all such captured transactions stand recorded in the book of accounts as **Monetary Units** regardless of the time & quality parameters. In the above illustrative example, cash, merchandise inventory and shop premises contribute to the **Monetary Quantities**.

Classification of Balance Sheet's Items

- **Current Assets**

- Happens to be the belongings, convertible to cash in a year or within the **operating cycle**.

- **Cash**

- It comprises of the Government controlled currency (legal tender), bank cheques for trading purposes. It is a current asset when required by a firm for its daily business operations.

- **Account Receivables**

- These are the sums owed to the firm by **Debtors**, so also called as unpaid customer accounts and trade receivables.

Classification of Balance Sheet's Items

- **Inventory**

- The term has large scale ramifications as it carries differential understanding with different business operations. Say for a trading entity, it is the quantitative value of the merchandise carried for customer selling as a routine practice.

- **Pre-paid Expenses**

- It comprises of some expenses typically paid as advance' like rent, advance tax, subscriptions, insurance etc. They are categorised under the head of current assets' since they are paid in advance (pre-payments).

Classification of Balance Sheet's Items

- **Fixed Assets**

- These are tangible assets of the business which have comparatively longer life. They continue to hold importance for a firm not only once but year on year till they last or are not sold off.



Classification of Balance Sheet's Items

- **Intangible and Other Fictitious Assets**
 - These are the ones which carry value but have no physical attributes. They are intangible and example being **Goodwill**.
- **Current Liabilities**
 - **Liabilities** are Outsiders' claims against the company are referred to as liabilities. They are the sums owing by the company to people who have lent money or offered goods or services on credit to the company.
- **Accounts Payable**
 - Also known as sundry creditors comprise of unsecured debts owed by business. They may not have formal endorsement or promise to pay.

Classification of Balance Sheet's Items

- **Accrued Liabilities**
 - These are the expenses/obligations of last year being paid in next year for e.g., Wages and rent.
- **Provisions or Anticipated Liabilities**
 - Comprise of known liabilities but undefined amount, like income tax payable. Accountants use the trending method to forecast such liabilities.
- **Contingent Liabilities**
 - Before going ahead in this, you should first understand the distinguishing feature of contingent liabilities from estimated liabilities.

Classification of Balance Sheet's Items

- **Long Term Liabilities**

- These are generally of more than a year and encompass typically all outsider's liabilities not included in the **Current Liabilities** and **Provisions**.

- **Capital**

- **Assets = Liabilities + Owners' Equity**

- **Reserves and Surplus or Retained Earnings**

- Every business effort for shareholder's profitability distributed as dividends. Such profits may be chosen to be retained to business by the management.

Adjustment Entries

- **Closing Stock**

- Is also understood as the value of the unsold stock of the firm. The valuation parameter stands important here as on what basis the stock valuation happens i.e. cost price of the firm or the market price. The lower values are accepted.

- **Depreciation**

- Fixed assets periodically reduce their value thus factored as depreciation. As the accounting entry Depreciation account is debited while individual asset account is credited.

Adjustment Entries

- **Bad Debts**

- Amounts to loss arising from unpaid debts. From debtors or it may even be said as irrecoverable. They are treated by transferring them to the debit side of P&L a/c.

- **Provision for Bad and Doubtful Debts**

- As understood from Bad debts, they require to be written off from the accounting records. Thus, based on past trends or management's insights, a provision towards doubtful debts is made.

Adjustment Entries

- **Outstanding Expenses (Liabilities)**
 - Business involves paying for the expenses and accountants capture such payments made in their records. Failure to capture an expense is understood as an Understatement.



Adjustment Entries

- **Expenses (Assets)**
 - Expenses may be done as advances and are known as prepaid expenses. While making annual financial statements a part or full, payment not made or remains unconsumed becomes asset.
- **Accrued Income (Assets)**
 - It is an amount earned but not actually received during that accounting period or by the time of final accounts being made?
- **Income Received in Advance (Liability)**
 - Can be defined as income received but not earned during the accounting period. It can be said that it is the corresponding amount for which the goods or services are to be offered in coming times.

Forensic Accounting

- Forensic accounting is often described as a specialized field of accountancy, which investigates fraud and analyzes financial information to be used in legal proceedings.
- Accounting records, financial statements, and other associated financial documents are investigated in forensic accounting. The investigation's findings are mostly used for legal support and conflict resolution.
- "Forensic accounting is a science (i.e., a department of systemized knowledge) dealing with the applications of accounting facts gathered through auditing methods and procedure to resolve legal problems."



Forensic Accounting

- **Scope of Forensic Accounting**
 - The following are the scope of the use of forensic accounting:
 - Banks Frauds
 - Securities and Exchange Board of India (SEBI)
 - Insolvency cases
 - Serious Fraud Investigation Office
 - Economic Offenses Wings

Forensic Accounting

- **Difference between Forensic Accounting and Audit**
 - There are some parallels and contrasts between forensic accounting and auditing.
 - A financial audit statement, for example, is designed to allow auditors to conduct an impartial evaluation and then provide an opinion.
 - On the financial statements, the auditor will only provide reasonable assurance.
 - Forensic accounting, on the other hand, looks into the financial statements and calculates the potential loss. They are not going to provide an opinion.

Important Topics

Trading Account

Profit and Loss Account

Balance Sheet

Adjustment Entries

Forensic Accounting

Summary

Accounting is the medium of recording the business transactions made in the business that is why, accounting is termed as the language of the business.

All the persons interested in the business such as investors, banks, suppliers, government, employees and others get the necessary financial information through accounting because it is properly analysed and summarised to the extent that can be understood by all concerned.

Financial Statements are also known final accounts. Final Accounts means P & L A/c statement and balance sheet.

*Thank
You*



Accountancy and Financial Management

Block-3_Unit-5

Statement of Changes in Financial Position (Cash Flow Statement)

Topics To Be Covered

- Introduction
- Statements of Changes in Financial Positions (SCFP)
- SCFP -(Working Capital Basis): Fund Flow Statement
- Construction of Fund Flow Statement
- Uses or Objects of Funds Flow Analysis
- SCFP -(Cash Basis): Cash Flow Statement
- Components of Cash Flow Statement
- Definition of Certain terms As per AS-3
- Sources and Uses of Cash
- Construction of Cash Flow Statement
- Uses or Objects of Cash Flow Analysis
- Important Topics
- Summary

Introduction

This session is an attempt to discuss the concepts relating to the preparation of Statement of Changes in Financial Position under different concepts.

A funds flow statement is generated to determine a company's periodic increase or decrease in working capital. The statement emphasises the sources and uses of working capital and exposes changes in the firm's financial structure between two balance-sheet dates.

In this session, emphasis has been given on the various concepts that are used in the preparation of Funds Flow Statement and Cash Flow Statement.

Statements of Changes in Financial Positions (SCFP)

- The balance sheet and Profit & Loss account of a firm shows its financial position on a particular date and expressing the result of operations during the year respectively.
- It's use is limited for planning and analysis. Hence, these two financial statements provide useful financial information related to the operation of the firm.
- Statement of Changes in Financial Position is a statement which is prepared to describe the changes in the financial position of a firm during a particular period. It identifies the sources and uses of funds during an accounting period.

Statements of Changes in Financial Positions (SCFP)

- **Accordingly, based on these two concepts of the term funds, the SCFP can be prepared viz.:**
 - SCFP - A Statement based on working capital/net current assets which is known as 'Funds Flow Statement'
 - The statement showing changes in financial position is also known as 'Funds Flow Statement', 'Management of Funds Statement' etc.
 - SCFP based on cash basis also known as 'Cash Flow Statement' and therefore, considers only receipts and payments of cash and transactions affecting the firm's cash position.

SCFP-(Working Capital Basis): Funds Flow Statement

- A fund flow statement is a statement prepared to analyse the reasons for changes in the financial position of a company between two balance sheets.
- It portrays the inflow and outflow of funds i.e. sources of funds and applications of funds for a particular period.
- According to Robert N Anthony; *“The funds flow statement describes the sources from which additional funds were derived and the use to which these sources were put.”*

SCFP-(Working Capital Basis): Funds Flow Statement

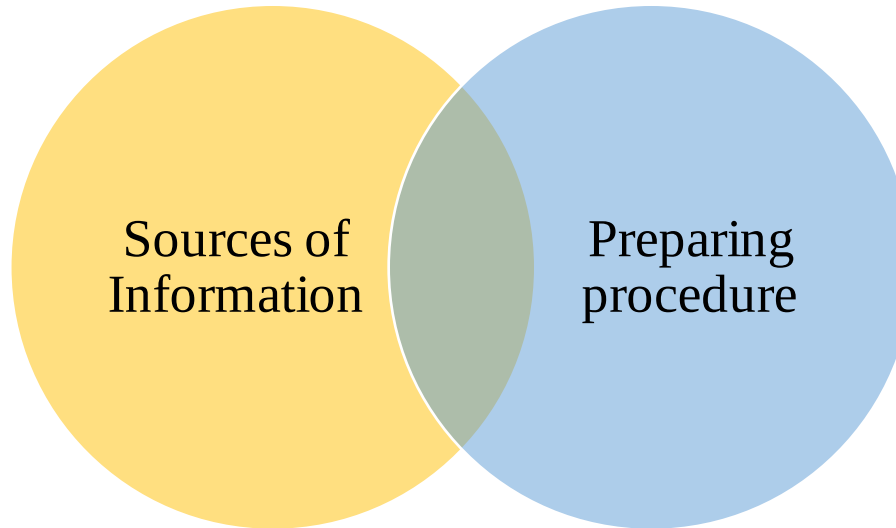
- **Concept of ‘Funds’ and ‘Flow’**
 - **Funds**
 - The term ‘fund’ has been used differently by the different financial experts.
 - Some called cash as a narrow concept fund while others In the broadest meaning, the term “Fund” refers to working capital, that is, the excess of current assets over current liabilities.

SCFP-(Working Capital Basis): Funds Flow Statement

- **Concept of ‘Funds’ and ‘Flow’**
 - **Flow of Funds**
 - Flow of funds would take place when a business transaction causes a change in the amount of funds (working capital) that existed before the transaction.
 - The flow of funds is recognized from the degree of change in the amount of working capital by a transaction; if it increases the amount of working, it is referred to as source of funds (inflow) whereas decrease in working capital indicates application of funds (outflow).

Construction of Fund Flow Statement

- The construction of funds flow statement involves decisions regarding the following two important aspects:



Construction of Fund Flow Statement

- **Statement of Changes in Working Capital**
 - A statement of changes in working capital is prepared by recording changes in current assets and current liabilities during the accounting period.
 - The statement of changes in working capital compares the number of current accounts - current assets and current liabilities - between the two balance sheet dates and illustrates the impact on working capital.

Construction of Fund Flow Statement

While preparing the statement of changes in working capital, the following rules are important in relation to this statement -

1. (i) Increase in a current assets items - increases in working capital;
- (ii) Decrease in a current assets items - decreases in working capital;
- (iii) Increase in a current liability items - decreases in working capital; and
- (iv) Decrease in a current liability items - increases in working capital.

Construction of Fund Flow Statement

- The format of Statement of changes in working capital is given below:

Items	Ist year (Rs)	IInd Year (Rs)	Effect on Working Capital (Rs)	
			Increase(+)	Decrease(-)
A. Current Assets:				
Trade debtors				
Inventory				
Cash				
Bills Receivables				
Prepaid Expenses				
Total Current Asset(A)				
B. Current Liabilities:				
Trade creditors				
Bills Payable				
Outstanding expenses				
Total Current Liabilities (B)				
Working Capital (A-B)				
Increase in working capital				

Construction of Fund Flow Statement

- **Statement of Flow of Funds/ Funds Flow Statement**
 - Funds flow statement is a financial document that analyses a company's balance sheet of two years to validate the movements of funds from the previous financial year to the current year.
 - It compares the sources of inflow and outflow of funds during the concerned accounting period and analyses how it affects the working capital of an organisation.
 - For the preparation of statement of sources and application of funds, we should be clear about the terms 'Sources and Application'.

Construction of Fund Flow Statement

• Statement of Flow of Funds/ Funds Flow Statement

Sources (Inflow)

- Refers to a situation when a transaction increases the amount of funds (working capital).

Application (Outflow)

- Means a transaction that result in the reduction of funds.

Construction of Fund Flow Statement

- **Statement of Flow of Funds/ Funds Flow Statement**
 - **Sources of Funds**
 - Issues Debentures and Debentures
 - Long term loans
 - Funds from Operations Activities/ Operational profits
 - Income from investment I.e. dividend, interest received
 - Sale of fixed assets (actual amount realised)

Construction of Fund Flow Statement

- **Statement of Flow of Funds/ Funds Flow Statement**
 - **Application of Funds**
 - Redemption of Preference shares
 - Redemption of Debentures
 - Purchase of investments
 - Purchase of fixed assets
 - Operational losses
 - Payment of long-term loans
 - Payment of taxes/dividend



Construction of Fund Flow Statement

- **Statement of Flow of Funds/ Funds Flow Statement**
 - **Thus, from above discussion, we may conclude that**

Decrease in non-current assets	Sources of funds
Increase in non-current liabilities	Sources of funds
Increase in non-current assets	Application of funds
Decrease in non-current liabilities	Application of funds

Construction of Fund Flow Statement

• Format of Funds Flow Statement

Fund Flow Statement (Statement of Sources and Application of Funds) for the year ended on.....

Sources of Funds	\$	Application of Funds	\$
Issue of share capital (both equity and preference)	*****	Redemption of preference shares	*****
Issue of debentures	*****	Redemption of debentures	*****
Amount raised through long-term loans	*****	Repayment of loans	*****
Sale of fixed assets	*****	Purchase of fixed assets purchased for consideration (other than shares, debentures, or long-term debt)	*****
Sale of Investment	*****	Purchase of long-term investments	*****
Non-trading income (e.g., income from investments, dividends, etc.)	*****	Payment of interim and final dividends in cash	*****
Fund from operations (trading profit)	*****	Non-trading expenses	*****
(A) Decrease in working capital (as per statement of changes in working capital)	*****	Funds lost in operations	*****
	*****	Payment of taxes	*****
	*****	(B) Increase in working capital (as per statement of changes in working capital)	*****
Total	*****	Total	*****

Construction of Fund Flow Statement

• Format of Funds Flow Statement

Funds Flow Statement (Statement of Sources and Application of Funds) for the year ended on _____

Sources of Funds	\$
Issue of share capital (both equity and preference)	*****
Issue of debentures	*****
Amount raised through long-term loans	*****
Sale of fixed assets	*****
Sale of investment	*****
Non-trading income (e.g., income from investments, dividends, etc.)	*****
Funds from operations (trading profit)	*****
(A) Decrease in net working capital (as per statement of changes in working capital)	*****
Total	*****
Application of funds	
Redemption of preference share capital	*****
Redemption of debentures	*****
Repayment of long-term loan	*****
Repayment of tax	*****
Repayment of dividends	*****
Purchase of fixed assets (other than for shares, debentures, or long-term debt)	*****
Purchase of investment	*****
(B) Net increase in working capital (as per statement of changes in working capital)	*****
Total	*****

Uses or Objects of Funds Flow Analysis

- The funds flow statement has been widely used by the financial users, financial analysts, the institutions granting loans and the financial managers.
- The purpose of this statement is to improve the understanding of the operation and activities of a firm for the reporting period.
- Therefore, this statement is a great significance to all - management of the business, shareholders, bankers and creditors.

SCFP -(Cash Basis): Cash Flow Statement

- A cash flow statement is an important tool used to manage finances by tracking the cash flow for an organization.
- This statement is one of the three key reports (with the income statement and the balance sheet) that help in determining a company's performance.
- It's also known as the 'life blood' of a company because of its significance. As a result, one of the most important jobs of management is to oversee and monitor the firm's cash position in order to ensure that sufficient cash is available to meet the firm's needs.
- A Cash Flow Statement is a financial statement that shows how the cash position has changed over time by identifying the main sources and uses of cash.

SCFP -(Cash Basis): Cash Flow Statement

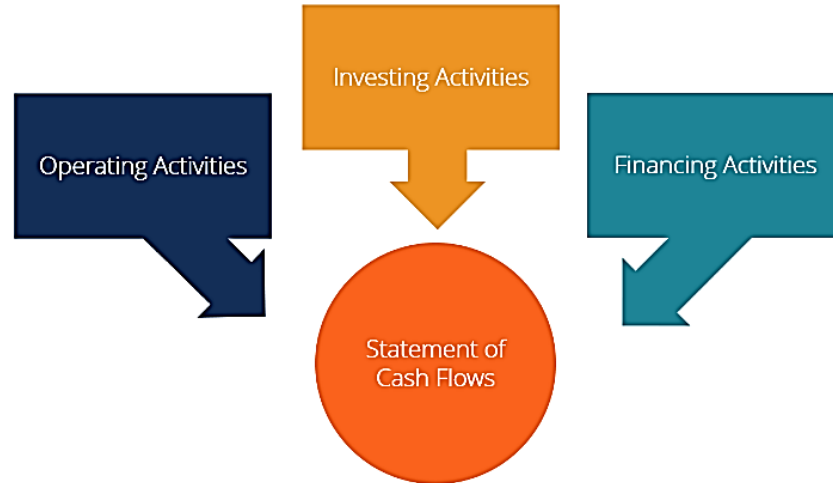
- In the hands of management, the cash flow statement is an important planning tool.
- This aids management in making strategies for immediate cash demands in the future.
- **The following are some of its primary applications:**
 - Discloses the various sources of cash
 - Discloses the various uses of cash
 - Helps in efficient cash management
 - Discloses the success or failure of cash planning
 - Helps in internal financial management

Components of Cash Flow Statement

- A cash flow statement is divided into 3 sections. Each head signifies the source from which a company can make money. A positive cash flow indicates cash inflows, whereas a negative cash flow indicates cash outflows.
- Cash Flow Statement is based on balance sheet, profit & loss account, profit & loss appropriation account and other given information.
- The council of Institute of Chartered Accountants of India (ICAI) issued on 3rd March, 1997 revised Accounting Standard 3 (Revised AS -3) superseding the AS -3 issued in June 1981.

Components of Cash Flow Statement

- The Cash flow statement should report cash flows during the period under analysis classified into the three broad components i.e.



Definition of Certain terms As per AS-3

- **Cash**

- It consists of cash in hand as well as demand deposits with banks. It consists of cash on hand as well as demand deposits with banks.

- **Cash Equivalents**

- Cash equivalents are short-term highly liquid investments.

- **Cash Cycle**

- It denotes the period of time when cash is locked up in operations.

- **Cash Flows**

- Change in the cash position of the firm I.e., shows inflows and outflows of cash and cash equivalents.

Definition of Certain terms As per AS-3

- **Operating Activities**

- These are the primary revenue-generating activities of any business, as well as any additional activity that are not investing or financing activities.

- **Investing Activities**

- These are the buying and selling of long-term assets and other investments that are not cash equivalents.

- **Financing Activities**

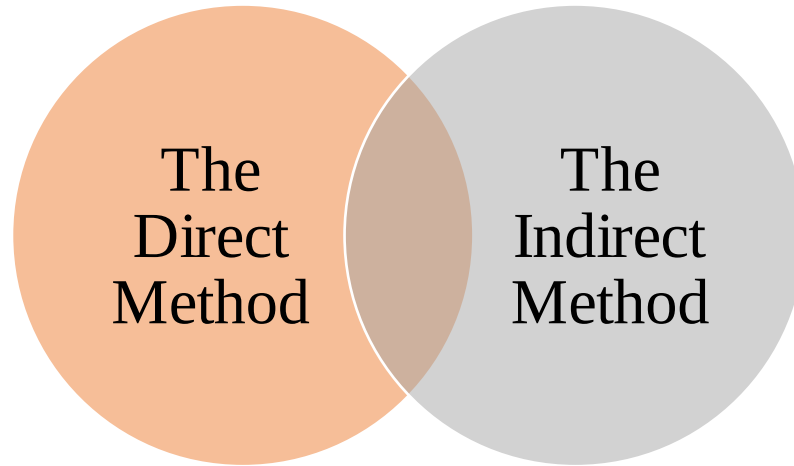
- These are those which are the result in changes in the size and composition of the owners' capital and borrowings of the business firm.

Construction of Cash Flow Statement

- A cash flow statement shows how much cash a business has on hand, and how that number is changing over time. A typical cash flow statement shows cash flow on a monthly basis over a 12 months period.
- The net cash flow supplied by or utilised in each of a company firm's three major activities should then be highlighted.

Construction of Cash Flow Statement

- **Calculation of Cash Flow from Operating Activities**
 - A business firm should calculate cash flows from operating activities using either



Construction of Cash Flow Statement

- **Direct Method**

Cash Receipts from Customers

Cash Paid to Employees

Cash Payments for Inventory

Cash Paid for Operating Expenses

Interest Paid

Taxes Paid

Construction of Cash Flow Statement

- **Indirect Method**

- While preparing the cash flows from the operating activities section using the indirect method, beginning with net profit/income before income tax and extraordinary items from the profit & loss account / income statement, reverse out entries to income and expense accounts that do not involve a cash movement, and show the change in net working capital.
- Income earned but not yet received, amortization of prepaid expenses, accumulated expenses, and depreciation or amortization are examples of entries that effect net income but do not represent cash flows.

Uses or Objects of Cash Flow Analysis

- It is useful to the management for evaluating the current cash position.
- It is helpful in determining the short-term solvency and debt repayment capacity of the firm.
- It assists management in evaluating historical cash cycle behaviour and regulating future cash uses.
- It helps to know the cash generation through normal business operations and other financial sources during the period under review.
- It helps to know the ways through which cash outflow has taken place in the business.
- It helps in the formation of policies concerning dividend, expansion of business, acquisition of assets etc.

Important Topics

Construction of Fund Flow Statement

Uses or Objects of Funds Flow Analysis

Components of Cash Flow Statement

Definition of Certain terms As per AS-3

Uses or Objects of Cash Flow Analysis

Summary

We attempted to illustrate the concept of money flow analysis and to discuss the reasons for changes in working capital between two dates in this session.

In the next part of this session, you learnt that cash is the key resource to any business decisions so the study of cash flow statement has become necessary to know the details of cash flow position between two dates in the organisation.

Cash Flows can be classified into three activities e.g. Cash flows from Operating Activities, Cash flows from investing activities and Cash flows from financing activities.

Cash flow statement in its actual and forecast form is used for various management decisions.

*Thank
You*



Accountancy and Financial Management

Block-3_Unit-6

Ratio Analysis

Topics To Be Covered

- Introduction
- Objectives
- Categories of Ratios
- Utility of Ratio Analysis
- Diagnostic Role of Ratios
- Important Topics
- Summary



Introduction

- Ratio analysis is the quantitative interpretation of the company's financial performance.
- It provides valuable information about the organization's profitability, solvency, operational efficiency and liquidity positions as represented by the financial statements.
- Ratio analysis refers to the analysis of various pieces of financial information in the financial statements of a business.
- They are mainly used by external analysts to determine various aspects of a business, such as its profitability, liquidity, and solvency.

Introduction

- Financial statements are the means of providing general information regarding operational results and the financial position of a business firm.
- The main objectives of financial statement analysis and interpretation are as follows:
 - Measuring financial soundness
 - Judging solvency
 - Measuring profitability
 - Judging operational efficiency
 - Indicating trends
 - Assessing growth potential
 - Inter firm and intra firm comparison



Categories of Ratios

- The ratios are broadly classified under different categories which as follows:

Solvency Ratios

Liquidity Ratios

Activity Ratios

Profitability Ratios

Market Test Ratios

Categories of Ratios

- **Long-term Solvency Ratios**

- Solvency is referred to as the firm's ability to meet its long-term debt obligations.
- Solvency ratios are a key component of the financial analysis which helps in determining whether a company has sufficient cash flow to manage the debt obligations that are due.
- Solvency ratios are also known as leverage ratios.
- Solvency ratios vary with the type of industry, but as a good measure a solvency ratio of 0.5 is always considered as a good number.

Categories of Ratios

- **Long-term Solvency Ratios**

- **Debt Equity Ratio**

- There are basically two sources of capital - equity and debt.
 - Debts are raised when owners want to increase investment but are unwilling to dilute the equity or the cost of debt is less than that of equity.

$$\text{Debt Equity Ratio} = \frac{\text{Long term debt}}{\text{Share holder funds}}$$

Categories of Ratios

- **Long-term Solvency Ratios**
 - **Shareholder's Equity Ratio**
 - The financial strength of a firm can be gauged by the proportion of equity capital in its capital structure, higher the proportion of equity, stronger is the firm's financial strength.

$$\frac{\text{Shareholder equity}}{\text{Total assets (tangible)}}$$

Categories of Ratios

- **Long-term Solvency Ratios**

- **Debt to Net Worth Ratio**

- This ratio computes long term debts of the firm to that of net worth.
 - Net worth is calculated as capital and free reserves less fictitious assets like carry forward losses and deferred expenditure.

$$\frac{\text{Long term debt}}{\text{Net worth}}$$

Categories of Ratios

- **Long-term Solvency Ratios**
 - **Capital Gearing Ratio**
 - This ratio indicates the degree to which the firm is trading on equity which in turn indicates the volatility of earnings available to shareholders.

$$\frac{\text{Fixed interest bearing funds}}{\text{Equity shareholder funds}}$$

Categories of Ratios

- **Long-term Solvency Ratios**

- **Fixed Assets to Long-term Funds Ratio**

- This ratio indicates the proportion of long term funds deployed in fixed assets.

$$\frac{\text{Fixed assets}}{\text{Long term funds}}$$

- **Proprietary Ratio**

- A proprietary ratio is also known as equity ratio. It establishes a relationship between the proprietor's funds and the net assets or capital.

$$\frac{\text{Net worth}}{\text{Total assets}}$$

Categories of Ratios

- **Long-term Solvency Ratios**

- **Interest Cover**

- The interest coverage ratio is used to determine whether the company is able to pay interest on the outstanding debt obligations.

$$\frac{\text{Profit before interest depreciation and tax}}{\text{Interest}}$$

Interest

- **Dividend Cover**

$$\frac{\text{Net profit after tax}}{\text{Dividend}}$$

Dividend

Categories of Ratios

- Long-term Solvency Ratios
 - Debt Service Coverage Ratio

$$\frac{\textit{Profit before interest and taxes}}{\textit{Interest + perodic loan instalment}}$$

Categories of Ratios

- **Liquidity Ratios (Short-term Solvency Ratios)**

- **Current Ratio**

- This ratio measures the solvency of the company in the short run (1 year).

$$\frac{\text{Current assets loans and advances}}{\text{Current liabilities and provisions}}$$

- **Quick Ratio or Liquid Ratio**

$$\frac{\text{Current assets, loans \& advaces} - \text{Inventories}}{\text{Current liabilities \& Provisions} - \text{Bank Overdraft}}$$

Categories of Ratios

- **Liquidity Ratios (Short-term Solvency Ratios)**
 - **Absolute Liquid Ratio (Super Quick Ratio)**

Absolute liquid Assets

Current liabilities

- **Bank Finance to Working Capital Gap Ratio**

- **Interval Measures**

Short term bank borrowings

Working Capital gap

Quick assets

Average daily expenses on operations

Categories of Ratios

- **Activity or Turnover Ratios**
 - **Inventory Turnover Ratio**

$$\begin{aligned}\text{Inventory Turnover Ratio} &= \frac{\text{Cost of goods sold}}{\text{Average inventory}} \text{ or} \\ &= \frac{\text{Sales}}{\text{Average Inventory}}\end{aligned}$$

$$\text{Average Inventory} = \frac{\text{Opening Stock} + \text{Closing Stock}}{2}$$

Categories of Ratios

- **Activity or Turnover Ratios**
 - **Debtors Turnover Ratio**

$$\frac{\text{Credit Sales}}{\text{Average Debtors}}$$

Average Collection Period: It is calculated as follows:

$$\frac{\text{Average debtors}}{\text{Credit sales}} \times 365$$

Categories of Ratios

- **Activity or Turnover Ratios**
 - **Creditors Turnover Ratio**

$$\frac{\text{Credit purchase}}{\text{Average creditors}}$$

Average Payment Period

$$\frac{\text{Average creditors}}{\text{Purchase}} \times 365$$

Categories of Ratios

- **Activity or Turnover Ratios**

- **Assets Turnover Ratio**

- **Fixed Assets Turnover Ratio** $\frac{\text{Sales}}{\text{Fixed assets}}$

- **Total Assets Turnover Ratio** $\frac{\text{Sales}}{\text{Total assets}}$

- **Working Capital Turnover Ratio** $\frac{\text{Sales}}{\text{Working Capital}}$

- **Sales to capital employed Ratio** $\frac{\text{Sales}}{\text{Capital Employed}}$

Categories of Ratios

- **Profitability Ratios**

- The purpose of calculating these ratios is to assess the adequacy of the profits earned by the company and also to estimate the trend of profitability over a period of time.
- Profitability of a company is the net result of numerous policies and decision.
- Profitability, ratios are measured with reference to sales, capital employed, total assets, shareholders funds etc.

Categories of Ratios

- **Profitability Ratios**
 - **Return on Investment**

$$ROI = \frac{\text{Net Profit}}{\text{Capital Employed}} \times 100$$

$$ROI = \frac{\text{Net profit}}{\text{Sales}} \times \frac{\text{Sales}}{\text{Investment in assets}}$$

(Profit Margin) (Investment Turnover)

Categories of Ratios

- **Profitability Ratios**
 - **Earnings Per Share (EPS)**

$$EPS = \frac{\text{Net profit after tax and preference dividend}}{\text{No. of equity shares}}$$

1. EPS when debt and equity is used:

$$\frac{(EBIT - I)(I - T)}{N}$$

- II. EPS when debt equity and preference shares are used:

$$\frac{(EBIT - I)(I - T) - D_p}{N}$$

Where EBIT = Earning before Interest and Taxes

I = Interest

T = Rate of Corporate Tax

D_p = Preference Dividend

N = Number of Equity Shares

Categories of Ratios

- **Profitability Ratios**

- **Cash Earning Per Share**

$$\text{Cash EPS} = \frac{\text{Net Profit} + \text{Depreciation}}{\text{No. of Equity Shares}}$$

- **Gross Profit Margin**

$$= \frac{\text{Sales} - \text{cost of goods sold}}{\text{sales}} \times 100$$

or

$$= \frac{\text{Gross profit}}{\text{Sales}} \times 100$$

- Variation in gross profit margin may be due to price cuts, cost increases, change in product mix, and under or over valuation of stocks.

Categories of Ratios

- **Profitability Ratios**

- **Net Profit Margin**
$$\frac{\text{Net profit before interest and tax}}{\text{Sales}} \times 100$$

- **Cash Profit Ratio**
$$\frac{\text{Cash profit}}{\text{Sales}} \times 100$$

- **Return on Assets**
$$\frac{\text{Net profit after tax}}{\text{Total assets}} \times 100$$

- **Return on Equity Shareholders Funds or Return on Net Worth**

$$\frac{\text{Net profit after interest and tax}}{\text{Net worth}} \times 100$$

Categories of Ratios

- **Market Test Ratios**

- The market test ratio relates the firm's stock price to its earning and book value per share.
- These ratios are indicators of the performance of the company and also reflect the likely performance of the company in the near future.
- If the firm's profitability, solvency and turnover ratios are good then the market test ratios will be high.

Categories of Ratios

- **Market Test Ratios**

- **Dividend Payout Ratio** $\frac{\text{Dividend per share}}{\text{Earnings per shares}}$

- **Dividend Yield** $\frac{\text{Dividend per share}}{\text{Market price}} \times 100$

- **Book Value** $\frac{\text{Equity capital} + \text{Reserves} - \text{Profite Loss A/C debit balance}}{\text{Total number of equity shares}}$

Utility of Ratio Analysis

- **With the help of ratios, one can determine:**
 - The ability of the firm to service its current obligations;
 - The effect of borrowings on long term solvency;
 - The efficiency with which the firm is utilizing its assets in generating sales revenue; and
 - The overall operating efficiency and performance of the firm.

Utility of Ratio Analysis

- **Performance Analysis**

- As stated above various stakeholders have different interests in the firm; short term creditors will be interested in the current financial position, while profitability long term creditors will be interested in the solvency of the firm.
- The equity holders are generally concerned with the returns. It is to be noted here that in every kind of financial analysis short-end long term financial position along with profitability are tested, but the emphasis would differ depending upon the interest of the stakeholder.

Diagnostic Role of Ratios

- **Profitability Analysis**

- How profitable is the company? What accounting policies and practices are followed by the company? Are they stable?
- Is the profitability (RONA) of the company high/low average? What are the underlying reasons for current profitability?
- Is the return on equity (ROE) high/low/average?
- What is the trend of profitability?
- Will the company be able to sustain high profitability or improve the profitability given the competitive and other environment utilizations?

Diagnostic Role of Ratios

- **Asset Utilization**

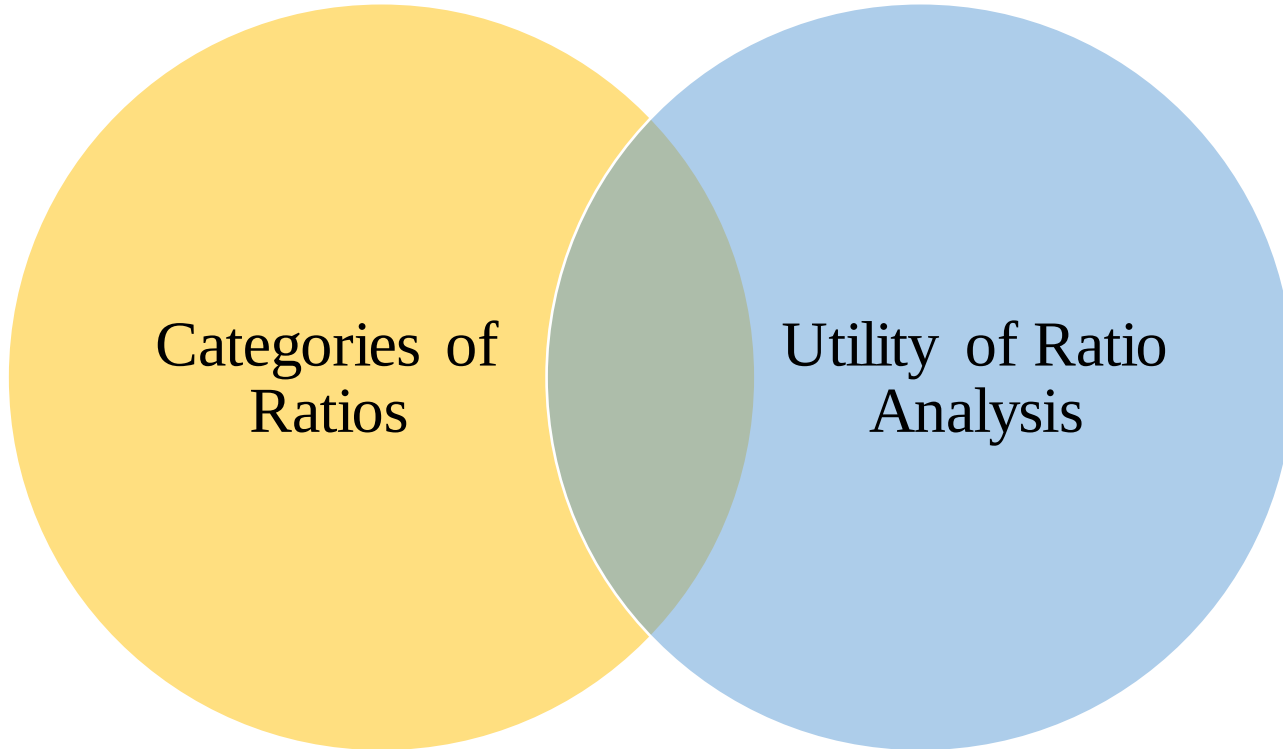
- How effectively assets are being utilized to generate sales?
- Are the level of debtors and inventories relative to sales reasonable in view of the firm's competitive and operating characteristics?
- What are the trends in collection periods, inventory turnover and fixed assets turnover?
- Is the improvement in the fixed assets turnover due to
 - Depreciated book value of fixed assets?
 - Disposal of some fixed assets.

Diagnostic Role of Ratios

- **Liquidity Analysis**

- What is the level of current assets and liabilities? Is it reasonable in the context of the firm's business?
- What is the frequency and duration of payment to the creditors? If it is high or low what is the effect of it?
- How efficiently and frequently does the company convert its current assets into cash?
- What are the lease commitments of the firms and the quantum of contingent liabilities?

Important Topics



Summary

- A large number of ratios are used to measure performance and exercise control. The ratios are used by all the stakeholders of the business viz., owners, managers, creditors, bankers, suppliers, government etc.
- The ratios are basically divided into five categories. The short and long term solvency ratios are used to judge the ability of the firm to meet its financial obligations.
- Activity or turnover ratios are used to find out how effectively and efficiently the firm's resources are being used.
- Profitability ratios are used to gauge the profitability of the firm with reference to sales and assets. The market test ratios are used to gauge the firm performance in terms of share prices and dividends.

*Thank
You*



Accountancy and Financial Management

Block-2_Unit-7

Reading and Interpretation of Financial Statements

Topics to be Covered

- Introduction
- Annual Report
- Financial statements and information gap
- Analysis of Profit and Loss A/c
- Analysis of Balance Sheet
- Analysis of Cash Flow Statement
- Techniques of financial statement analysis
- Important Topics
- Summary

Introduction

- The principal components of the financial statements are the profit & loss account, balance sheet, statement of changes in financial position and foot notes.
- These statements prepared to show the year-end profit or loss and the financial position of the firm.
- The financial statements are not an end in themselves; they are only vehicles of communicating the financial health of a firm.
- Though they contain significant facts regarding the concern in the form of figures, but the figures are dumb.

Annual Report

An annual report is a document which is prepared by every company as a regulatory requirement and provides the information on its financial results about the operations and conditions, over the previous accounting years.

This document helps them in analysing the financial conditions, growth, funding pattern and how the company is a good in terms of placing the investments as an investor, financier, supplier etc.

Annual Report

- **A typical annual report at its basic includes:**
 - General Information about the operation and its segment in which the company is involved.
 - Director's Report along with audited financial statements of Profit & Loss /Income Statement, Balance-Sheet, Cash Flow Statement, and notes on accounts.
 - Management Discussion and Analysis section providing a composite summary of performance of various businesses of the Company along with prospective analysis.
 - Corporate Governance Report and Shareholding pattern;
 - Share Price data and Dividend declared.

Annual Report

- **Need for Annual Report/ Financial Statement Information**
 - Annual reports are repository of qualitative information which is crucial in making critical decisions.
 - Such information includes mainly the Management discussion and analysis and chairman speech.
 - Anyone -prospective investor, financiers, managers, government, customers, suppliers, lenders, academicians, researchers and other regulatory agencies want to know about the prospects and financial health of the firm are interested in the analyzing of various financial and non-financial information.

Annual Report

- The information given in the annual report/financial statements is very useful to several parties. These can be broadly classified in two categories:
 - **Internal Users**
 - Owners / Shareholders
 - Management
 - Employees
 - Trade unions



Annual Report

- The information given in the annual report/financial statements is very useful to several parties. These can be broadly classified in two categories:

- **External Users**

- Prospective Investors
- Lenders
- Trade Creditors
- Govt. and Regulatory authorities
- Researchers
- Customers
- Stock Exchanges



Financial statements and information gap

- The necessary and primary function of reading a financial statement for the purpose of financial analysis is to seek out and pinpoint the degree of strengths and weakness of a business undertaking, by regrouping the data and figures provided in the financial statements; and make a comparison of its various components in reference to some predetermined standards and formulae.
- Information gap is the deviations in the information expected by the different users for their various decisions and what the information provided by the company in its financial statements.

Financial statements and information gap

- **The following are the shortcomings of financial statements:**

Based on historical costs

Based on Personal judgment

Judgment in respect of various accounting policies

Analysis of Profit and Loss A/c

- Analysis of a financial statement refers to employment of such tools and techniques on the details revealed by the financial documents, so that the profitability and financial status of a business entity can be determined with a certain degree of preciseness and reliability.
- The P&L statement reveals the company's realized profits or losses for the specified period by comparing total revenues to the company's total costs and expenses.
- Over time it can show a company's ability to increase its profit, either by reducing costs and expenses or increasing sales. A Profit and Loss Statement, also known as an Income Statement.

Analysis of Profit and Loss A/c

- **The Profit and Loss Statement/Account is prepared for two reasons:**
 - To understand a company's profits/losses
 - Statutory requirements (Companies Act, Partnership Act or any other law)



Analysis of Profit and Loss A/c

- **Structure of the Profit and Loss Statement**
 - The following are the primary categories featured on the P&L Revenue (or Sales)
 - Cost of Goods Sold
 - Selling, General & Administrative Expenses
 - Marketing and Advertising
 - Interest Expense
 - Taxes
 - Net Income
 - Earnings Per Share

Analysis of Balance Sheet

- The analysis of Balance sheet is an analysis of the capital, financial structure and assets of the company for the purpose of getting the insights on the correct financial position of the business at a particular point in time.
- We could also say that the balance sheet shows the year-end balance in the asset, liability, and capital accounts. A company's balance sheet, also known as a "statement of financial position".

Analysis of Balance Sheet

- **Balance sheet analysis**

- An examination of a company's assets, liabilities, and equity is known as a balance sheet analysis.
- This analysis is usually done at regular intervals, such as once a year or once a quarter.
- Balance sheet analysis is a method of calculating the company's revenue, assets, and liabilities.

Analysis of Balance Sheet

- **Analyzing a Balance Sheet with Ratios**

- Financial strength and activity ratios are the two most common types of ratios that employ balance sheet data.
- Working capital and debt-to-equity ratios are examples of financial strength measurements that show how well a company can meet its obligations and how leveraged those obligations are.
- Activity ratios are primarily used to assess how successfully a company manages its operational cycle.
- These figures can reveal information about a company's operational efficiency.

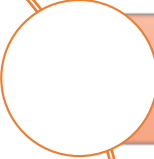
Analysis of Cash Flow Statement

The Cash Flow Statement is a very important statement which is an immense use for the financial decision making and analysis e.g. capital structure, capital budgeting, dividend declaration etc.

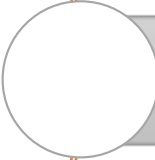
This statement summarises the various sources of receiving the cash and its various uses by the firm from/to the different activities Operating, investing and financing activities during the period of time.

Analysis of Cash Flow Statement

- **Why do we need cash flow statements?**



They demonstrate our financial strength.



In the form of cash withdrawals, cash inflows, and cash holdings, they show you changes in assets, liabilities, and equity.



They give us the ability to forecast future cash flows.

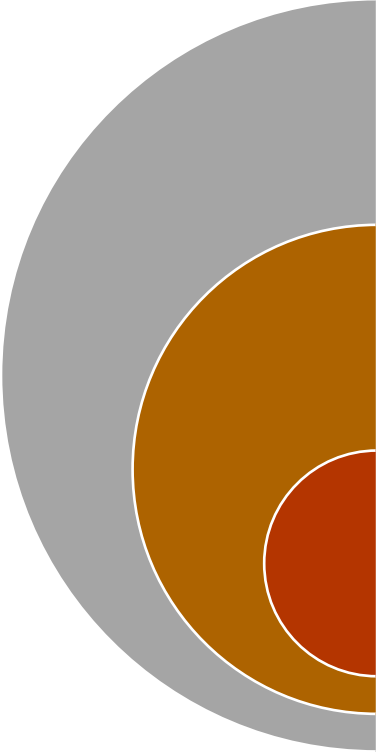
Analysis of Cash Flow Statement

- **Preparation of Cash Flow Statement under the three sections:**
 - **Cash Flow from Operating Activities** is money earned or spent in the course of normal business operations—the main method a company makes money is via the sale of goods or services.
 - **Cash Flow from Investing Activities** is money earned or spent by a firm on investments such as buying equipment or investing in other businesses.
 - **Cash Flow from Financing Activities** is money earned or spent to finance a business through loans, lines of credit, or owner's equity.

Analysis of Cash Flow Statement

- **Preparing a Cash Flow Statement**
 - To start with, we need two successive balance sheets and the operating statement or profit and loss account linking the two balance sheets.
 - There are two ways in which this statement can be drawn up.
 - The direct method entails disclosing important categories of gross cash inflows and gross cash payments.
 - The second method is known as the short-cut or indirect method. Under this method net profit or loss is taken as the basis and adjusted for the effects of transactions of non-cash nature, changes in current assets and current liabilities and transactions of income or expenses associated with financial cash flows.

Techniques of financial statement analysis



The necessary and primary function of reading a financial statement for the purpose of financial analysis is to seek out and pinpoint the degree of strengths and weakness of a business undertaking, by regrouping the data and figures provided in the financial statements.

On the other hand, interpretation means, putting the hidden meaning of the financial statements, in to simplified lucid terms, for the greater benefit of the users of accounting.

Interpretation explains the financial affairs and position, in such a simple language that may understood even by a layman, who may not have any clear or basic knowledge or understanding of the principles of financial documents.

Techniques of financial statement analysis

- **Objectives of Financial Statements**

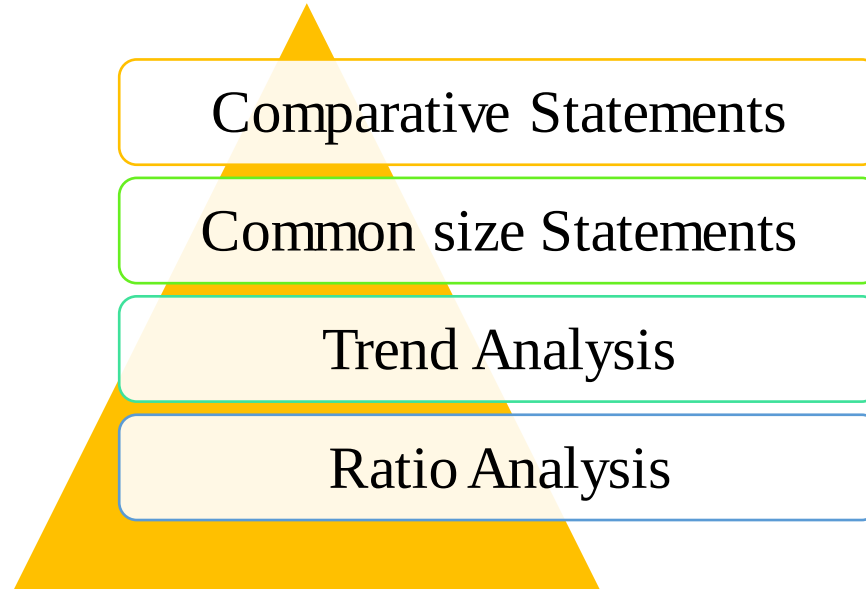
- To investigate the future potential of the concern.
- To determine the profitability and future prospects of the concern.
- To make comparative study of operational efficiency of similar concerns.
- To examine the earning capacity and efficiency of various business activities with the help of income statements.
- To estimate about the performance efficiency and managerial ability.
- To determine short term and long-term solvency of the business concerns.
- To enquire about the financial position and ability to pay of the concerns.

Techniques of financial statement analysis

- **Importance of Analysis and Interpretation of Financial Statements**
 - Intuition-based decisions may be incorrect and flawed.
 - The user's personal experience is extremely limited.
 - Scientifically based decisions or findings are relative and easily understood by others.
 - Analysis and interpretation are required even for verifying and examining the correctness and accuracy of conclusions made based on intuition.

Techniques of financial statement analysis

- **Major Techniques of Financial Statements Analysis**



Techniques of financial statement analysis

- **Comparative Statements**

- Comparative Financial Statements are created when financial statements from two or more years are displayed side by side to facilitate comparison.
- Such statements include columns that illustrate the rise or reduction in these values from one year to the next, in addition to the absolute figures for each year.

Techniques of financial statement analysis

- **Comparative Statements**
 - **Purpose and Significance**
 - To help for measuring the effects of the operation.
 - To help in knowing the Trends.
 - To Identify the Concern's Strong and Weak Areas.
 - To Compare the Firm 's financial performance to the Industry Average.
 - To Assist in Anticipating.

Techniques of financial statement analysis

- **Comparative Statements**

- **Limitations**

- These accounts do not show how particular components have changed in respect to total assets, total liabilities, or net sales.
 - Because there is no common foundation, these statements are useless for comparing the financial statements of two or more businesses.

Techniques of financial statement analysis

- **Comparative Statements**
 - **Types of Comparative Statements**

Comparative Income
Statement/ Profit &
Loss Account

Comparative Balance
Sheet

Techniques of financial statement analysis

- **Comparative Statements**
 - **Types of Comparative Statements**
 - **Comparative Income Statement/ Profit & Loss Account**
 - **Income Statement or Profit and loss account** indicates the net profit or loss for a specific year, whereas comparative profit and loss account shows the following information over several years.
 - a. Rate of increase or decrease in sales.
 - b. Rate of increase or decrease in cost of goods sold.
 - c. Rate of increase or decrease in gross profit
 - d. Rate of increase or decrease in operating profit.
 - e. Rate of increase or decrease in net profit.

Techniques of financial statement analysis

- **Comparative Statements**
 - **Types of Comparative Statements**
 - **Comparative Balance Sheet**
 - The effects of all business operation of a firm can be found from the balance-sheets in the form of changes in the values of different items of balance sheet i.e. owner's capital, assets and liabilities.
 - These changes can be studied by comparing the current year and previous year balance-sheets of the same firm.
 - For this purpose, the statement of comparative balance-sheet can be prepared for the use by the different decision-makers.

Techniques of financial statement analysis

- **Comparative Statements**
 - **Types of Comparative Statements**
 - **Common Size Statements**
 - These statements are used by the analysts to analysis of the performance of the firm by comparing each individual item vis-à-vis the totals in the statement.
 - These statements also helps in analyzing the overall performance over the different years say two years or more for a firm.
 - These statements can also be used for comparing with the competitive firms in the same industry for analyzing the performance of relative efficiency.

Techniques of financial statement analysis

- **Comparative Statements**
 - **Types of Comparative Statements**
 - **Common Size Statements**
 - **Purpose and Significance**
 - Common size analysis indicates the sources of capital and all other sources of funds, as well as the distribution or application of total funds in a commercial enterprise's asset.
 - A comparison of the common size statement over more than several years will clearly show the changing percentage of the main components of asset, liabilities, costs, net sales, and profits.

Techniques of financial statement analysis

- **Comparative Statements**
 - **Types of Comparative Statements**
 - **Common Size Statements**
 - **Limitations**
 - These statements show percentage of each item to total sum but do not show variations in the individual items from period to period.
 - Many people consider the common size statement to be meaningless because there is no defined standard proportion of each item to total.

Techniques of financial statement analysis

- **Comparative Statements**
 - **Types of Comparative Statements**
 - **Common Size Statements**
 - **Preparing Common Size Statement**
 - In common size statements individual figure are converted into percentage to some common base.
 - All statistics in a balance sheet are expressed as a proportion of the total assets or liabilities.
 - In profit and loss account, sales figure is taken as 100 and all other figures are expressed as percentage of sales.

Techniques of financial statement analysis

- **Comparative Statements**
 - **Types of Comparative Statements**
 - **Trend Analysis**
 - This analysis is also an important and useful technique of horizontal financial analysis.
 - This technique is immensely used by the analysts in making a comparative study of the financial figures of several years.
 - Under this method, trend percentages are calculated for each item of the financial statements taking the this figure of base year as 100.

Techniques of financial statement analysis

- **Comparative Statements**
 - **Types of Comparative Statements**
 - **Trend Analysis**
 - **Purpose and Significance**
 - Trend percentages are more helpful than absolute data because they show the growth in an accounting item as well as the amount of the change in percentage.
 - The trend percentage allows for a more efficient comparison of commercial enterprise financial performance over time.

Techniques of financial statement analysis

- **Comparative Statements**
 - **Types of Comparative Statements**
 - **Trend Analysis**
 - **Limitations**
 - Any one trend isn't very analytical or enlightening on its own.
 - If percentages and ratios are interpreted separately from the absolute data from which the percentages were produced.
 - During inflationary periods, data over time becomes incomparable unless the data is corrected in absolute rupees.
 - There's always the risk of picking a base year that isn't representative, usual, or typical.

Techniques of financial statement analysis

- **Comparative Statements**
 - **Types of Comparative Statements**
 - **Trend Analysis**
 - **Care to be taken before making a Trend Analysis**
 - The firm needs to follow the accounting principles, rules, and practices constantly over the period for which the analysis is made in order to maintain consistency and comparability.
 - A normal and representative year should be taken as a base year for calculating the trend percentages.

Techniques of financial statement analysis

- **Comparative Statements**
 - **Types of Comparative Statements**
 - **Ratio Analysis**
 - A 'ratio' is the mathematical expression for the connection between two figures.
 - In the words of R. N. Anthony —A Ratio is simply one number expressed in terms of another.
 - It is found by dividing one number in to other.||

Techniques of financial statement analysis

- **Comparative Statements**
 - **Types of Comparative Statements**
 - **Ratio Analysis**
 - **Ratio can be expressed in the following three ways:**
 - Pure Ratio or Simple Ratio
 - Rate or So Many Times
 - Percentage

Techniques of financial statement analysis

- **Comparative Statements**
 - **Types of Comparative Statements**
 - **Ratio Analysis**
 - **Purpose and Significance**
 - Helpful in Analysis of Financial Statements
 - Simplification of Accounting Data
 - Helpful in Comparative study
 - Helpful in forecasting
 - Estimate about the trend of the business
 - Fixation of ideal standard

Techniques of financial statement analysis

- **Comparative Statements**
 - **Types of Comparative Statements**
 - **Ratio Analysis**
 - Ratio Analysis Becomes Less Effective Due to Price Level Changes
 - Ratios may be Misleading in the Absence of Absolute Data
 - Limited Use of a Single Ratio
 - Window-Dressing

Techniques of financial statement analysis

- **Comparative Statements**
 - **Types of Comparative Statements**
 - **Ratio Analysis**
 - Lack of Proper Standards
 - Ratios alone are not adequate for proper conclusions
 - Effect of personal ability and bias of the Analyst

Techniques of financial statement analysis

- **Comparative Statements**
 - **Types of Comparative Statements**
 - **Ratio Analysis**
 - **Limitations**
 - Lack of Proper Standards
 - Ratios alone are not adequate for proper conclusions
 - Effect of personal ability and bias of the Analyst

Techniques of financial statement analysis

- **Comparative Statements**
 - **Types of Comparative Statements**
 - **Ratio Analysis**
 - **Types of Ratios**
 - Liquidity Ratios
 - Leverage Ratios
 - Turnover or Activity Ratios
 - Profitability Ratios
 - Valuation Ratios

Techniques of financial statement analysis

- **Types of Ratios**

- **Liquidity Ratios**

- The ability of a company to satisfy its obligations in the short run, usually one year, is referred to as liquidity.
 - The liquidity ratio is generally based on the connection between current assets and current liabilities (the sources for satisfying short-term obligations).
 - Current ratio, acid test ratio, and cash ratio are essential liquidity ratios.

Techniques of financial statement analysis

- **Types of Ratios**

- **Liquidity Ratios**

- **Current Ratio**

- $$\text{CR} = \frac{\text{Current Assets}}{\text{Current Liabilities}}$$

- **Acid-test Ratio/Quick Ratio**

- $$\text{QR} = \frac{\text{Quick Assets}}{\text{Current Liabilities}}$$

- **Cash Ratio**

- $$\text{CR} = \frac{\text{Cash and bank balances} + \text{Current investments}}{\text{Current liabilities}}$$

Techniques of financial statement analysis

- **Types of Ratios**

- **Leverage Ratios**

- Leverage ratios assist in determining the risk associated with borrowing money.
 - Coverage ratios depict the link between debt servicing responsibilities and the sources of funding to meet these obligations.

Techniques of financial statement analysis

- **Types of Ratios**
 - **Leverage Ratios**
 - Debt-equity Ratio = $\frac{\text{Debt}}{\text{Equity}}$
 - Interest Coverage Ratio = $\frac{\text{Profit before interest and taxes}}{\text{Interest}}$

Important Topics

Annual Report

Techniques of financial statement analysis

Summary

In addition to the financial statements, the annual report of a company provides a number of other useful information to the various users of financial information.

The financial statements are not an end in themselves; they are only vehicles of communicating the financial health of a firm.

Financial Statements are prepared predominantly for maintaining a permanent record of its past transactions and events as a legislative requirement and for making decisions for its day-to-day operations and for implementing strategies.

*Thank
You*



Accountancy and Financial Management

Block-3_Unit-8

Introduction to Financial Management

Topics to be Covered

- Introduction
- Evolution of Financial Management
- Significance of Financial Management
- Principles of Financial Management
- Objectives of Financial Management
- Economic Profit vs. Accounting Profit
- Agency Relationship
- The Changing Financial Landscape
- Organisation of Financial Management
- Tasks and Responsibilities of Modern Financial Manager
- Important Topics
- Summary

Introduction

- Financial Management means planning, organizing, directing and controlling the financial activities such as procurement and utilization of funds of the enterprise.
- Financial management has various elements that require specific attention or we may call it the scope of financial management as well.
 - **Investment decisions** includes investment in fixed assets.
 - **Financial decisions** relates to the raising of finance from various resources.
 - The finance manager has to take decision with regards to the net profit distribution in **Dividend Decisions**.

Evolution of Financial Management

- Financial management emerged as a distinct field of study in the present business scenario. The evolution of financial management may be divided into three broad phases:

The traditional
phase

The transitional
phase

The modern phase

Evolution of Financial Management

- In the **traditional phase** the focus of financial management was on certain events which required funds e.g., major expansion, merger, reorganization etc.
- During the **transitional phase** the nature of financial management was the same but more emphasis was laid on problems faced by finance managers in the areas of fund analysis planning and control.
- The **modern phase** is characterized by the application of economic theories and the application of quantitative methods of analysis.

Significance of Financial Management

- Determination of Business Success
- Optimum Utilisation of Resources
- Focal Point of Decision Making
- Measurement of Performance
- Basis of Planning, Co-ordination and Control
- Advisory Role
- Information Generator for Various Stakeholders

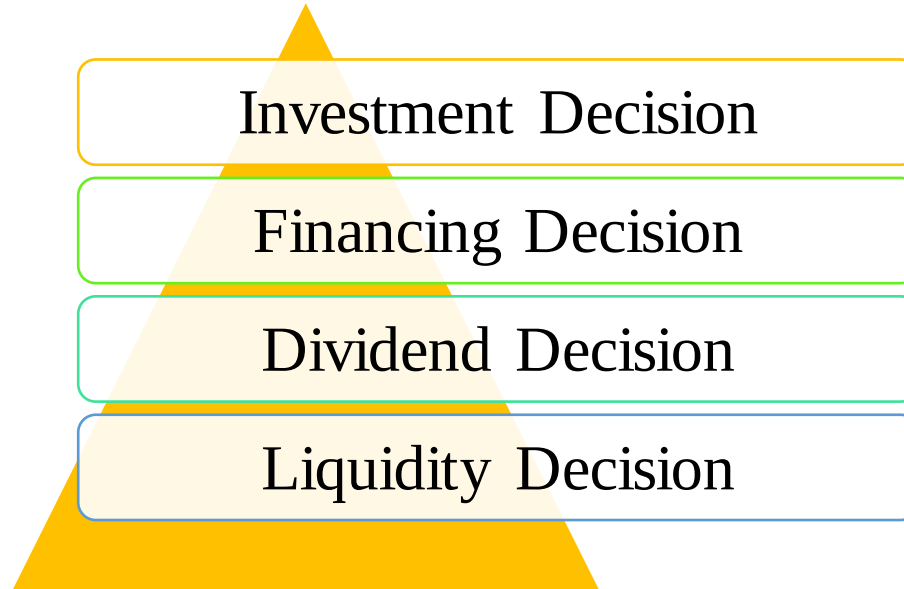
Principles of Financial Management

- Financial management is the process of managing the funds both for individuals and organizations to ensure proper utilization of funds. The principles of financial management work as a guideline for managing financial activities.
- To get the most benefit from a financial action, the person needs to be careful enough to handle the risk and return trade balance.



Principles of Financial Management

- The broad principles of corporate finance are:



Principles of Financial Management

- **The broad principles of corporate finance are:**
 - **Investment Decision**
 - The firm has scarce resources that must be allocated among competing uses.
 - On the one hand the funds may be used to create additional capacity which in turn generates additional revenue and profits and on the other hand some investments results in lower costs.

Principles of Financial Management

- **The broad principles of corporate finance are:**
 - **Investment Decision**
 - Another important area where financial management plays an important role is in deciding when, where, from and how to acquire funds to meet the firm's investment needs.
 - These aspects of financial management have acquired greater importance in recent times due to the multiple avenues from which funds can be raised.

Principles of Financial Management

- **The broad principles of corporate finance are:**
 - **Dividend Decision**
 - The finance manager has to decide what proportion of profits has to be distributed to the shareholders.
 - The proportion of profits distributed as dividends is called the dividend pay out ratio and the retained proportion of profits is known as retention ratio.
 - The dividend policy must be designed in a way, that it maximises the market value of the firm's share.

Principles of Financial Management

- **The broad principles of corporate finance are:**
 - **Liquidity Decision**
 - A firm must be able to fulfill its financial commitments at all points of time.
 - In order to ensure that the firm should maintain sufficient amount of liquid assets.
 - Liquidity decisions are concerned with satisfying both long and short-term financial commitments.
 - The finance manager should try to synchronise the cash inflows with cash outflows.

Objectives of Financial Management

- Ensure adequate and regular supply of funds to the business
- Provide a fair rate of return to the suppliers of capital
- Ensure efficient utilisation of capital according to the principles of profitability, liquidity and safety
- Devise a definite system for internal investment and financing
- Minimise cost of capital by developing a sound and economical combination of corporate securities
- Co-ordinate the activities of the finance department with the activities of other departments of the organisation

Objectives of Financial Management

- **Profit Maximization**

- The process of increasing the profit earning capability of the company is termed to as Profit Maximization.
- **Profit maximisation as an objective of financial management can be justified on the following grounds:**
 - Rational
 - Test of Business Performance
 - Main Source of Inspiration
 - Maximum Social Welfare
 - Basis of Decision-Making

Objectives of Financial Management

- **Profit Maximization**
 - **Drawbacks of Profit Maximisation Concept**
 - It is vague
 - It ignores time value of money
 - It ignores risks
 - It ignores social responsibility

Objectives of Financial Management

- **Wealth Maximization**

- The ability of a company to increase the value of its stock for the stakeholders is known as Wealth Maximization.
- It is a long-term goal and involves various external factors like sales, products, services, market share, etc.
- It assumes the risk and recognizes the time value of money .
- It is mainly concerned with the long-term growth of the company and hence is concerned more about fetching the maximum chunk of the market share to attain a leadership position.

Objectives of Financial Management

- **Superiority of Wealth Maximization**
 - It measures income in terms of cash flows, and avoids the ambiguity.
 - It recognises time value of money by discounting the expected income of different years at a certain discount rate.
 - It analyses risk and uncertainty so that the best course of action can be selected from different alternatives.
 - It is not in conflict with other motives like maximisation of sales or market value of shares.

Objectives of Financial Management

Basis	Wealth Maximization	Profit Maximization
Definition	It is defined as the management of financial resources aimed at increasing the value of the stakeholders of the company.	It is defined as the management of financial resources aimed at increasing the profit of the company.
Focus	Focuses on increasing the value of the stakeholders of the company in the long term.	Focuses on increasing the profit of the company in the short term.
Risk	It considers the risks and uncertainty inherent in the business model of the company.	It does not consider the risks and uncertainty inherent in the business model of the company.

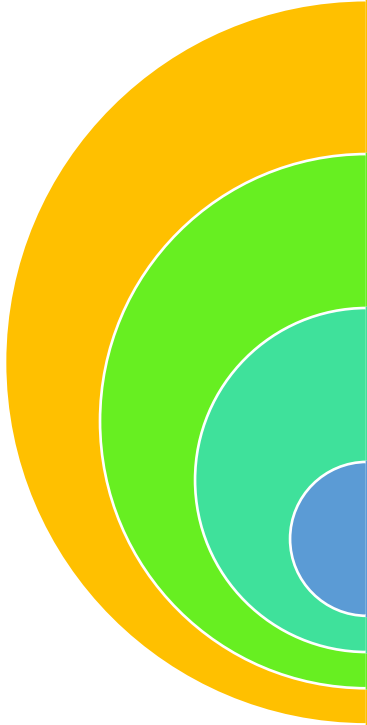
Economic Profit vs. Accounting Profit

- Accounting profit is a company's net earnings on its income statement, whereas economic profit is the value of cash flow that's generated above all other costs. Accounting profit is the net income shown by its Income Statement.
- Economic profit differs quite significantly from accounting profit. Instead of looking at net income, economic profit considers a company's free cash flow, which is the actual amount of cash generated by a business.

Accounting Profit = Total Revenue – Explicit Costs

Economic Profit = Total Revenue – (Explicit Costs + Implicit Costs)

Agency Relationship



An agent is a person who acts for, and exerts power on behalf of another person or group of persons.

The person (or group of persons) whom the agent represents is referred to as the principal.

The relationship between the agent and the principal is an agency relationship.

There is an agency relationship between the managers and shareholders of a company.

Agency Relationship

- **Problems Related with Agency Relationship**

- The most common problem being the misuse of power and authority by the managers, which includes financial misappropriation, using the funds of the company for the personal self (fringe benefits) etc.
- Another facet of this problem is, where managers put a little effort towards expanding and exploring the market for new business.

Agency Relationship

- **Costs of the Agency Relationship**
 - In order to minimise the potential for conflict between the principal's interest and the agent's interest certain costs are to be incurred by the principal as well as the agent and the cumulative effect of these costs is referred to as the agency costs.
 - **Agency costs are of three types:**

Monitoring
costs

Bonding
costs

Residual cost

The Changing Financial Landscape

- **The significant changes which have been taking place over the years are:**
 - Low interest rate regime
 - Exchange control and convertibility
 - Development of capital markets
 - Less intermediation
 - Introduction of hybrid financial instruments
 - Increase in risk exposure
 - Volatility in commodity prices
 - Substantial lowering of custom duty (Removal of trade barriers)

The Changing Financial Landscape

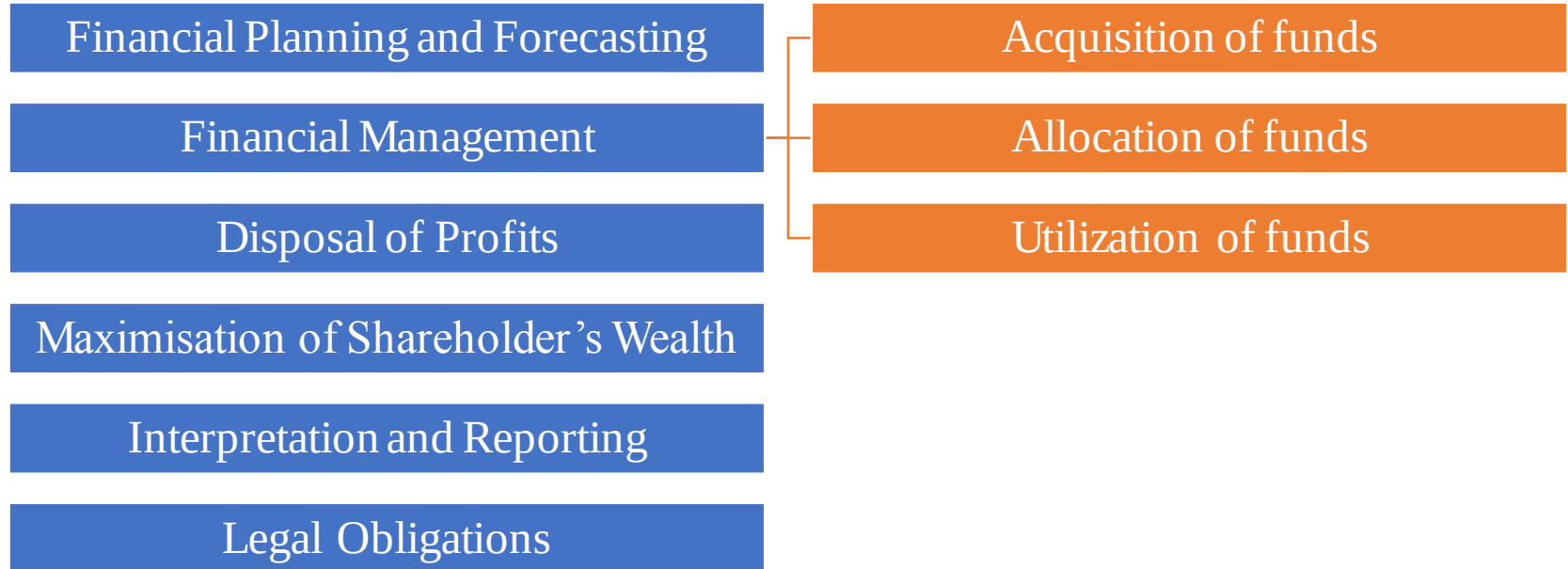
- **The impacts of these changes are as follows:**
 - Increased competitions have resulted in the rationalization of pricing and costs. Companies having high cost structure are being forced to rationalize operations.
 - National financial system is now more closely integrated with international financial system.

Organisation of Financial Management

- Organisation of financial management means the division and the classification of various functions which are to be performed by the finance department.
- The responsibilities for financial management are spread throughout the organisation in the sense that financial management is, to an extent, an integral part of the job for the managers involved in planning, allocation of resources and control.
- Finance is a major/critical functional area of management, the ultimate responsibility for carrying out financial management functions lies with the top management, that is, board of directors/managing director/chief executive or the cornerstone of the board.

Tasks and Responsibilities of Modern Financial Manager

- **The main tasks and responsibilities of a financial manager are as follows:**



Important Topics



Principles of Financial Management

Objectives of Financial Management

Agency Relationship

Tasks and Responsibilities of Modern Financial Manager

Summary

- Financial Management has undergone several changes over the last five decades as more and more companies are raising funds from markets both domestic and overseas.
- The modern phase of financial management is characterized by the application of economic theories and advanced mathematical and statistical tools.
- Financial management's significance is increasing day by day as it play the role of facilitator among various departments.
- The objective of the firm has also changed from profit maximization to that of wealth maximization. The agency problem is concerned with how managers behave when, delegated with decision making powers.

*Thank
You*



Accountancy and Financial Management

Block-3_Unit-9

Time Value of Money

Topics to be Covered

- Introduction
- Determining the Future Value
- Annuity
- Important Topics
- Summary



Introduction

- The time value of money (TVM) states that a sum of money is worth more now than the same sum will be at a future date because of its earnings potential.
- A sum of money in the hand has greater value than the same sum to be paid in the future.
- Over a period of time, the interest is added to the principal, earning more interest. This is the power of compounding interest. If the money is not invested, it loses its value over time.

Determining the Future Value

- Process of calculating future value of money from present value is classified as compounding.
- Compounding is the process in which earning of interest either from capital gains or interest, are reinvested to generate additional earnings over time.
- **To get the future value from present value for a one year period**
 - **$FV = PV + (PV * k)$**
where PV = Present Value
k = Interest rate
 $FV = PV(1 + k)$

Determining the Future Value

- **Shorter Compounding Period**

$$FV_n = PV \left(1 + \frac{k}{m}\right)^{m \times n}$$

where FV_n = Future value after n years

PV = Present Value

K = nominal annual rate of interest

m = Frequency of compounding done during a year

n = number of years for which compounding is done

Determining the Future Value

- **Effective vs. Nominal Rates**

- Nominal interest rate is also defined as a stated interest rate.
- This interest works according to the simple interest and does not take into account the compounding periods.
- Effective interest rate is the one which caters the compounding periods during a payment plan.
- It is used to compare the annual interest between loans with different compounding periods like week, month, year etc.

Determining the Future Value

- **Continuous Compounding**

- The extreme frequency of compounding is continuous compounding where the interest is compounded instantaneously.
- The future value of an amount that is compounded for n years is

$$FV = PV \times e^{kn}$$

where, k is annual percentage rate and e^{kn} is the compound factor.

Annuity

- An annuity is defined as stream of uniform period cash flows.
- The payment of life insurance premium by the policyholder to the insurance company is an example of an annuity.
- Similarly, deposits in a recurring bank account are also an annuity.
- **Depending on the timing of the cash flows annuities are classified as:**
 - Regular Annuity or Deferred Annuity
 - Annuity Due

Annuity

- **Illustration**

- Suppose Mr. Ram deposits Rs. 10,000 annually in a bank for 5 years, at 10 per cent compound interest rate.
- Calculate the value of this series of deposits at the end of five years assuming that
 - each deposit occurs at the end of the year
 - each deposit occurs at the beginning of the year

Annuity

- **Solution**

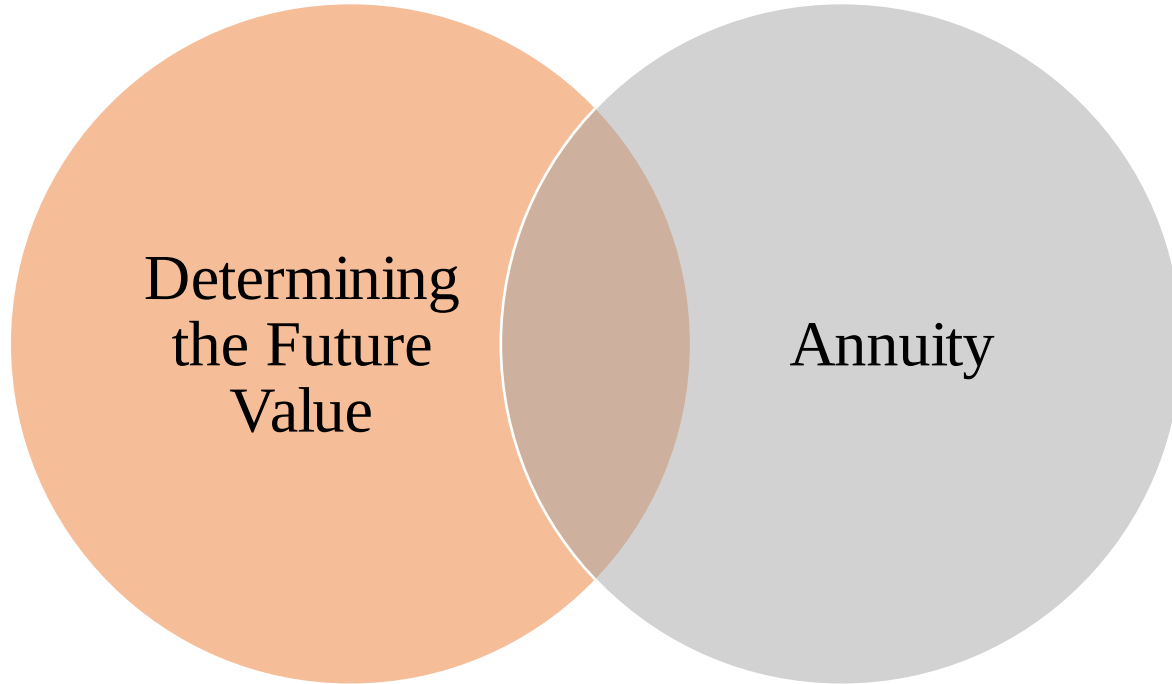
- **The future value of regular annuity will be:**

$$\begin{aligned} & \text{Rs. } 1000 (1.10)^4 + 1000 (1.10)^3 + 1000 (1.10)^2 + 1000 (1.10) + 1000 \\ & = 6105. \end{aligned}$$

- **The future value of an annuity due will be:**

$$\begin{aligned} & \text{Rs. } 1000 (1.10)^5 + 1000 (1.10)^4 + 1000 (1.10)^3 + 1000 (1.10)^2 + 1000 (1.10) \\ & = \text{Rs } 1000 (1.611) + 1000 (1.4641) + 1000 (1.331) + 1000 (1.21) + 1000 (1.10) \\ & = \text{Rs. } 6716. \end{aligned}$$

Important Topics



Summary

Individuals generally prefer possession of cash right now or in the present moment rather than the same amount at some time in the future.

This time preference is basically due to the following reasons i.e. uncertainty of cash flows, preference for current consumption and availability of investment opportunities.

In compounding future value of cash flows at a given interest rate at the end of a given period of time are cash flows at a given interest rate at the beginning of a given period of time is found out.

*Thank
You*



Accountancy and Financial Management

Block-3_Unit-10

Cost of Capital

Topics to be Covered

- Introduction
- Identifying Component of Cost of Capital
- Concept of Weighted Average Cost of Capital
- Factoring Weighted Marginal Cost of Capital
- Significance of Cost of Capital
- Opportunity Cost of Capital
- Important Topics
- Summary

Introduction

Businesses are all about profitability and require identification of right sources of funds to meet the day to day financial needs of the firm.

The investors may choose their investments in the firm in form of equity shares, debentures, term specified loans or a combination of the above.

Designated with the role of finance manager, one should prioritize on the cost of capital and the chosen medium or vehicle of financing yielding the expected rate of return thus resulting in minimize the wealth of shareholders.

Identifying Component of Cost of Capital

The cost remains one of the crucial determinant while identifying and selecting 'source of finance'. Thus it can be defined as “the rate of discount which equates the present value of the expected payments to that source of finance with the net proceeds received from that source of finance”.

Identifying Component of Cost of Capital

- **Cost of Debentures**

- “Cost of capital for debt may be defined as the returns expected by the potential investors of debt securities of the firm.
- The cost of a debenture is the discount rate that equates the net proceeds from issue of debentures to the expected cash outflows in the form of interest and principal repayments”, i.e.

$$P = \sum_{t=1}^n \frac{I(1-t)}{(1+k_d)^t} = \frac{F}{(1+k_d)^n}$$

$$k_d = \frac{I(1-t) + \frac{F-p}{n}}{\frac{F+P}{2}}$$

Identifying Component of Cost of Capital

- **Cost of Term Loans**

- It stands equated to the interest rate multiplied by $(1 - \text{Tax rate})$.
The Interest earned on term loans is also liable for taxation.

$$k_t = I(1 - t)$$

Where,

I = Interest rate,

t = Tax rate

Identifying Component of Cost of Capital

- **Cost of Preference Capital**

- It (k) is defined as “that discount rate which equates the proceeds from preference capital issue to the payments associated with the same i.e., dividend payment and principal payments”.
- This can be understood for the below formula:

$$k_p = \frac{D + \frac{F-P}{n}}{\frac{F+P}{2}}$$

Identifying Component of Cost of Capital

Cost of Equity Capital

- Several approaches like the Dividend Forecast Approach, Capital Asset Pricing Approach, Earnings-Price Ratio Approach, and the Bond Yield Plus Risk Premium Approach are developed for estimating the cost of equity capital.

Identifying Component of Cost of Capital

- **Cost of Equity Capital**
 - **Dividend Forecast Approach**
 - According to the dividend forecast approach, “the intrinsic value of an equity stock is equal to the sum of the present values of the dividends associated with it”, i.e.

$$P_e = \sum_{t=1}^n \frac{D_t}{(1 + k_e)^t}$$

Identifying Component of Cost of Capital

- **Cost of Equity Capital**
 - **Capital Assets Pricing Model Approach**
 - This approach identifies the cost of equity be mentioned by the following equational statement:
$$k_i = R_r + \beta_i (R_m - R_f)$$
 - The CAPM describes the relationship between the required rate of return or the cost of the capital and the non-diversifiable or relevant risk, of the firm as reflected in its index of non-diversifiable risk i.e., Beta.

Identifying Component of Cost of Capital

- **Cost of Retained Earnings and Cost of External Equity**
 - If the firm retains part of its earnings for future growth of the firm, the shareholder demands compensation from the firm for using that money.
 - As a result, the cost of retained earnings simply represents a shareholder's expected return from the firm's common stock.

$$\text{i.e., } K_r = K_e$$

Concept of Weighted Average Cost of Capital

- The weighted arithmetic average of the cost of different financial resources that a company uses is termed as its cost of capital. Ascertaining WACC involves following defined process:
 - Identifying the implied cost of the various sources of finance. (A)
 - Evaluate the corresponding weights with the available sources of finance. (B)
 - Multiply A and B and add these weighted costs.

Factoring Weighted Marginal Cost of Capital

- **The schedule depicting the inter-relationship in additional financing and WACC is termed as “Weighted marginal cost of capital (WMCC) schedule” :**
 - Cost estimation for each individual financing source (with estimation of distinct usage levels of usage).
 - Post ascertaining the ratio of different sources of finance in the new capital structure, calculate the levels of total new financing at which the cost of various sources would change.
 - Find WACC for various ranges of total financing between the breaking points.
 - Tabulate WACC for each level of total new financing.

Significance of Cost of Capital

- It is a much significant account and financial instrument used to evaluate business investment opportunity costs and thereby increasing the planned investments.
- The term may also be understood as “an amount of return, an investment could have garnered if that investment was executed”.
- It is also defined as “the financing costs a company has to pay when borrowing money, using equity financing, or selling bonds to fund a big project or investment.”

Significance of Cost of Capital

- **Milton H. Spencer** defined it as “the minimum required rate of return which a firm requires as a condition for undertaking an investment’.
- **Ezra Solomon** defined it as ““minimum required rate of earnings or the cut-off rate of capital expenditure’.
- According to **L. J. Gitman** “The cost of capital is the rate of return a firm must earn on its investment so the market value of the firm remains unchanged”.

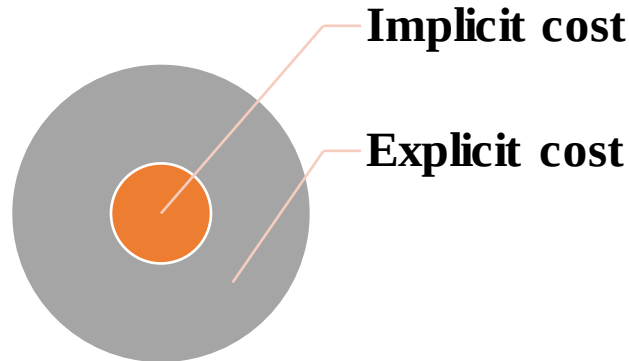
Significance of Cost of Capital

Investment
Evaluation

Designing
Debt Policy

Project
Appraisal

- While understanding the cost of capital it is worth acknowledging the two forms of capital, i.e.



Opportunity Cost of Capital

- This type of cost is defined as “the incremental return on investment that a business foregoes when it elects to use funds for an internal project, rather than investing cash in a marketable security.”
- So, in case when the projected return on an internal investment is lower than expected return from a marketable security, the investor would prefer to opt out of one would not invest in the internal opportunity and may move for other security option.

Important Topics

Identifying
Component of
Cost of Capital

Concept of
Weighted Average
Cost of Capital

Significance of
Cost of Capital

Summary

- The company carries a liability to satisfy the investors with the return on their investments to the company. This cost of capital for firm attributes to a “least rate of return that it must earn on its investments in order to satisfy various categories of investors”.
- Cost of capital are of two types i.e. Implicit cost and Explicit cost. The opportunity cost of capital “is the incremental return on investment that a business foregoes.
- The important components of capital structure are: Equity Capital, Preference Capital, Debentures and Term Loans.
- The cost of a debenture is defined “as the discount rate which equates the net proceeds from issue of debentures to the expected cash outflows in the form of interest and principal repayments.”

*Thank
You*



Accountancy and Financial Management

Block-3_Unit-11

Investment Appraisal Methods

Topics to be Covered

- Introduction
- The Investment Problem
- Capital Investment and Firm's Value
- Investment Evaluation Criteria
- Important Topics
- Summary

Introduction

- Capital budgeting, also known as an “investment appraisal,” is a financial management tool to measure a project's potential risks and expected long-term return on investment.
- Capital budgeting is a valuable tool because it provides a means for evaluating and measuring a project's value throughout its life cycle.
- In this session, we will look at the various types of capital investment decisions which the finance manager takes we are also going to look at the ways and means to estimate the costs and benefits associated with these decisions.

The Investment Problem

- An organization is often faced with the challenges of selecting between two projects/investments or the buy vs. replace decision.
- Ideally, an organization would like to invest in all profitable projects but due to the limitation on the availability of capital an organization has to choose between different projects/investments.
- Capital investment is the firm's investment in its assets. The firm's capital investment decision may be comprised to a number of distinct decisions each referred to as a project.
- A capital project is a set of assets that are contingent on the other and are considered together.

The Investment Problem

- **Investment decisions of capital projects are primarily based on two factors:**
 - the changes in the firm's future cash flows by investing in a particular capital project, and
 - the uncertainty associated with future cash flows.
- **The value of a firm is the present value of all its future cash flows. The source of these future cash flows is:**
 - Assets that are already in place
 - Future investment opportunities.

The Investment Problem

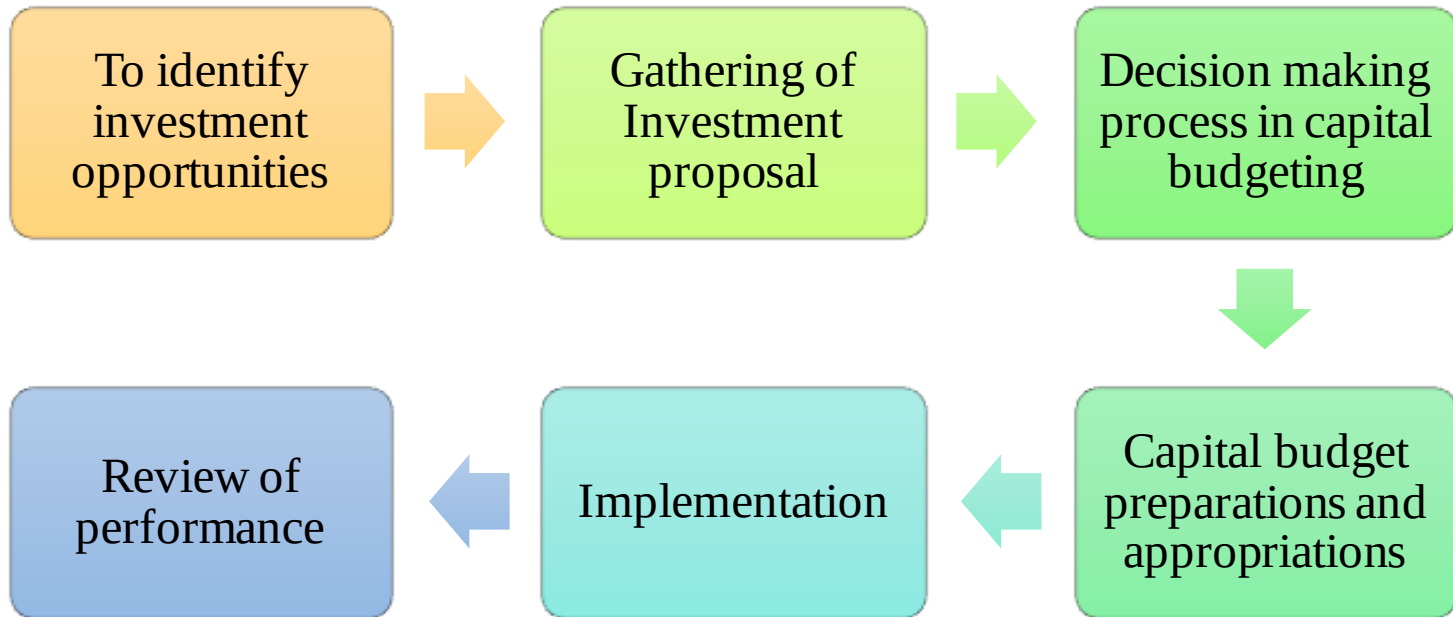
- Future cash flows are re-discounted at a rate which takes into consideration the risk and uncertainty of these cash flows.
- **Cash flow risk comes from two basic sources:**

Sales risk

Operating risk

Capital Investment and Firm's Value

- **Stages in Capital Budgeting Process**

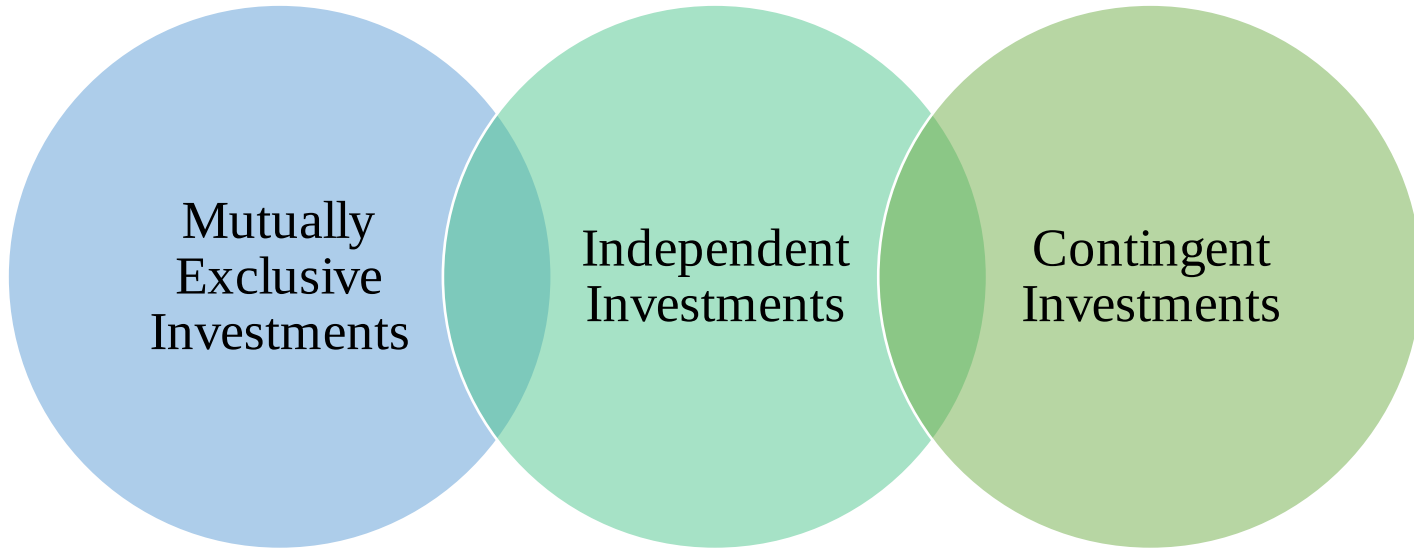


Capital Investment and Firm's Value

- **Importance of Capital Investment Decisions**
 - They influence the firm's growth in the long run
 - They affect the risk of the firm
 - They involve commitment of large amount of funds
 - They are irreversible or reversible at substantial loss
 - They are among the most difficult decisions to make

Capital Investment and Firm's Value

- **Types of Investment Decisions**



Investment Evaluation Criteria

- **The investment evaluation process consists of three steps, which are as follows:**
 - Estimation of cash flows.
 - Estimation of the required rate of return (the opportunity cost of capital).
 - Application of a decision rule for making the choice.

Investment Evaluation Criteria

- **Investment Decision Rule**
 - **Any capital budgeting technique should take into consideration the following factors:**
 - It should consider all cash flows associated with the project.
 - It should provide for clear and unambiguous way of separating good projects from the bad ones.
 - It should help in ranking projects according to their profitability.
 - It should recognize the fact that bigger cash flows are preferable to smaller ones and early cash flows are preferable to later ones.

Investment Evaluation Criteria

Evaluation Criteria

Non Discounted Cash Flow
Criteria

Discounted Cash Flows (DCF) Criteria

Pay Back
Period (PB)

Accounting
Rate of
Return (ARR)

Net Present
Value (NPV)

Internal Rate
of Return
(IRR)

Profitability
Index (PI)

Investment Evaluation Criteria

- **Payback Period Method**

- In the Payback period method, the payback period is usually expressed in years, the time in which the cash outflows equal cash inflows. This method is focused on liquidity and profitability.
- The basic element of this method is calculation of recovery time, by accumulation of the cash inflow (including depreciation) year by year until the cash inflows equal the amount of original investment.

$$\text{Payback Period} = \frac{\text{Initial Investments}}{\text{Annual Cashflows}} = \frac{C_0}{C}$$

Investment Evaluation Criteria

- **Accounting Rate of Return Method (ARR)**

- The Accounting Rate of Return uses the accounting information as revealed by financial statements, to measure the profitability of an investment. The Accounting Rate of Return is the ratio of average after tax profit divided by average investment.

$$ARR = \frac{\text{Average Income}}{\text{Average Investment}}$$

$$\frac{\sum_{t=1}^n \text{EBIT}(1 - T)/n}{(I_0 + I_n)/2}$$

Investment Evaluation Criteria

- **Discounted Cash Flow (DCF) Techniques**
 - **Net Present Value (NPV) Method**
 - In this method, all cash flows attributable to a capital investment project are discounted by a chosen percentage e.g., the firms weighted average cost of capital to obtain the present value of the future cash flows.

$$NPV = \frac{C_1}{(1+k)} + \frac{C_2}{(1+k)^2} + \frac{C_3}{(1+k)^3} + \dots \frac{C_n}{(1+k)^n} - C_0$$

$$NPV = \sum_{t=1}^n \frac{C_t}{(1+k)^t} - C_0$$

Investment Evaluation Criteria

- **Discounted Cash Flow (DCF) Techniques**
 - **Internal Rate of Return (IRR) Method**
 - Internal Rate of Return is a percentage discount rate used in capital investment appraisals which makes the present value of the cost of the project equal to the future cash flows of the project.
 - It is the rate of return which equates the present value of anticipated net cash flows with the initial outlay. The IRR is also defined as the rate at which the net present value is Zero.

Investment Evaluation Criteria

- **Discounted Cash Flow (DCF) Techniques**

- Profitability Index (PI) Method

- Profitability Index is the ratio of the present value of cash inflows at the required rate of return, to the initial cash outflow of the investment.
- The formula for calculating benefit cost ratio or profitability index is as follows:

$$PI = \frac{\text{PV of cash inflows}}{\text{Initial cash outlay}} = \frac{PV(C_t)}{C_0} = \sum_{t=1}^n \frac{C_t}{(1+k)^t} \div C_0$$

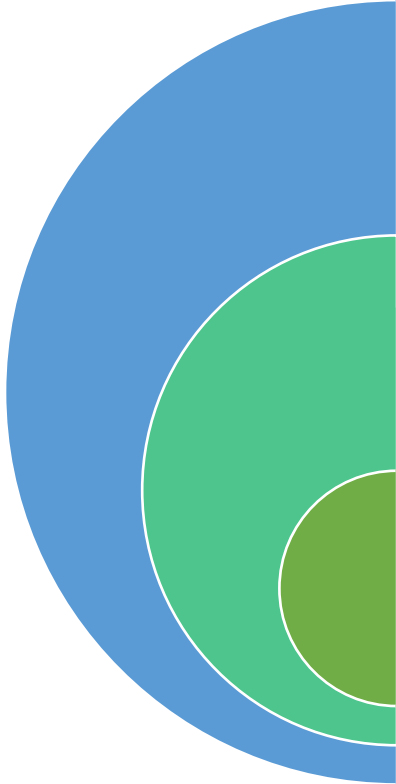
Important Topics

Stages in
Capital
Budgeting
Process

Types of
Investment
Decisions

Investment
Evaluation
Criteria

Summary



Capital investment decisions are complex decisions as they involve estimating future cash flows associated with that particular investment. There are broadly two techniques which are used for appraising the worth of an investment project i.e. Discounted cash flow criteria and Non discounted cash flow criteria.

The basic difference between these two techniques is that the former uses the concept of the time value of money, whereas in the latter technique absolute returns are used.

There are various types of Investment decisions which are: Mutually Exclusive Investments, Independent Investments and Contingent Investments.

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Accountancy and Financial Management

Block-3_Unit-12

Working Capital Decisions

Topics to be Covered

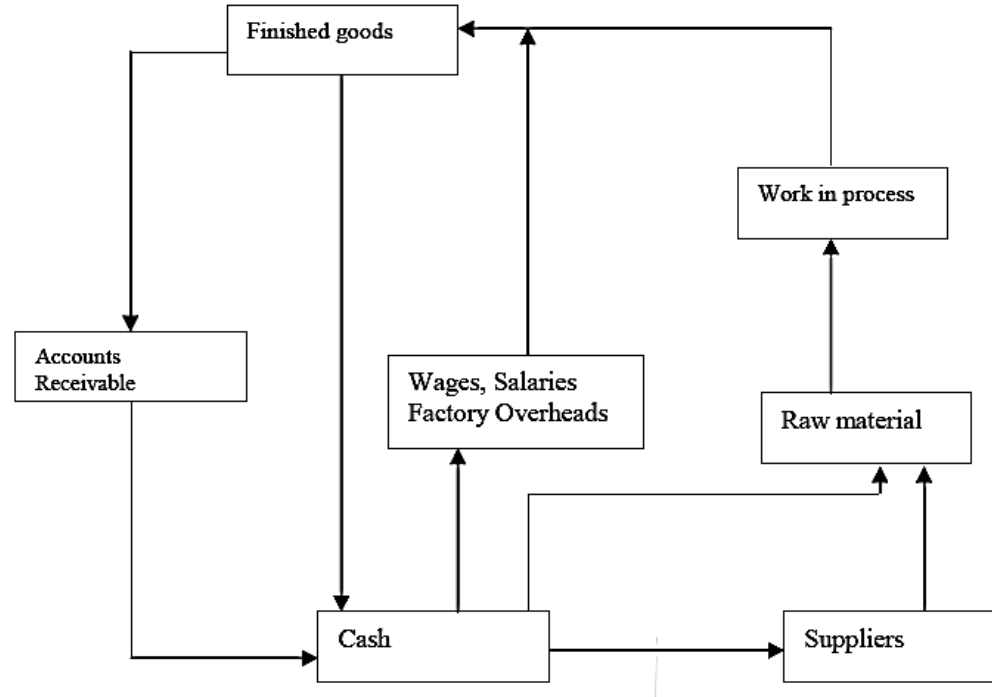
- Introduction
- Current Assets & Current Liabilities
- Operating Cycle Concepts
- Factors Influencing Working Capital Requirements
- Sources of Working Capital
- Strategies for Working Capital Management
- Estimating Working Capital Requirement
- Important Topics
- Summary

Introduction

- Working capital requirement (WCR) is the amount of money required to cover your operating costs. It represents your company's short-term financing requirements.
- The decisions regarding long-term investment are based on judgments on future cash flows, the uncertainty of these cash flows and the opportunity cost of the funds to be invested.
- The major difference between long-term financial management and short-term financial management is with regards to quantum and frequency of cash flows.
- There are two concepts of working capital i.e. Gross working capital and Net working capital.

Current Assets & Current Liabilities

- Current assets have a short life span, cash balances can remain idle for 7 to 14 days, while accounts receivable usually have a life span ranging from 30 to 90 days and inventories may be held for 30 to 100 days.

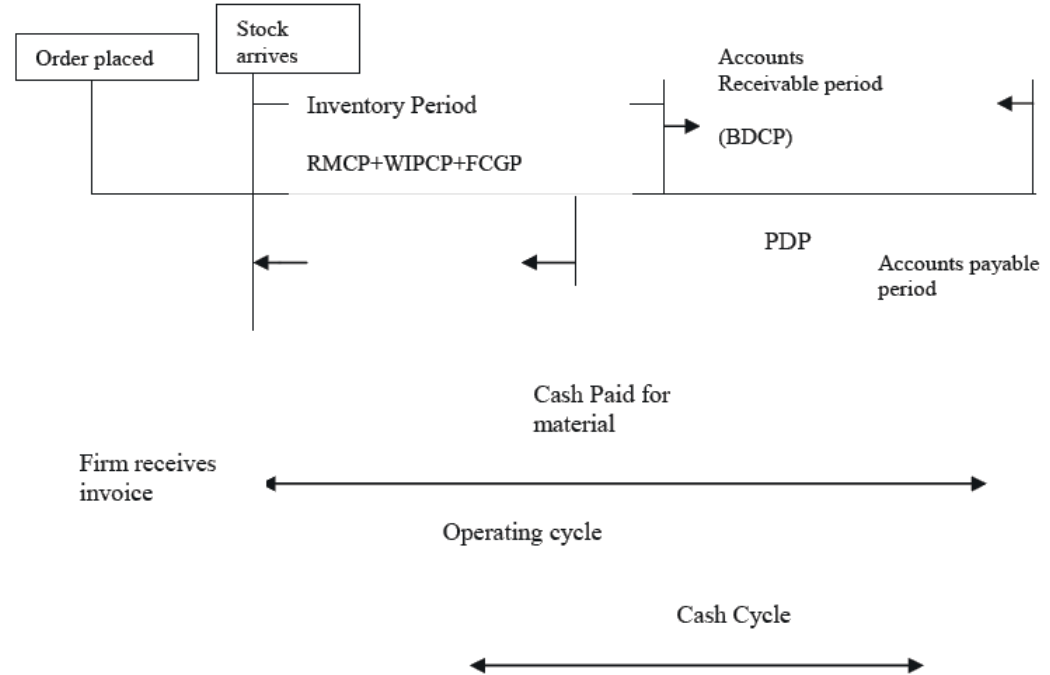


Current Assets & Current Liabilities

- Current assets = Cash + Cash Equivalents + Inventory + Accounts Receivable + Market Securities + Prepaid Expenses + Other Liquid Assets.
- Current liabilities are an enterprise's obligations or debts that are due within a year or within the normal functioning cycle. Moreover, current liabilities are settled by the use of a current asset, either by creating a new current liability or cash.
- Current liabilities appear on an enterprise's Balance Sheet. Current Liabilities = [Notes payable + Accounts payable + Accrued expenses + Unearned revenue + Current portion of long term debt + other short term debt.]

Operating Cycle Concepts

- An operating cycle refers to the time it takes a company to buy goods, sell them and receive cash from the sale of said goods.
- Operating cycle refers to the average time lapse between the acquisition of raw material and the final cash realisation.



Factors Influencing Working Capital Requirements

Nature of
business

Business Cycle

Seasonal
Variations

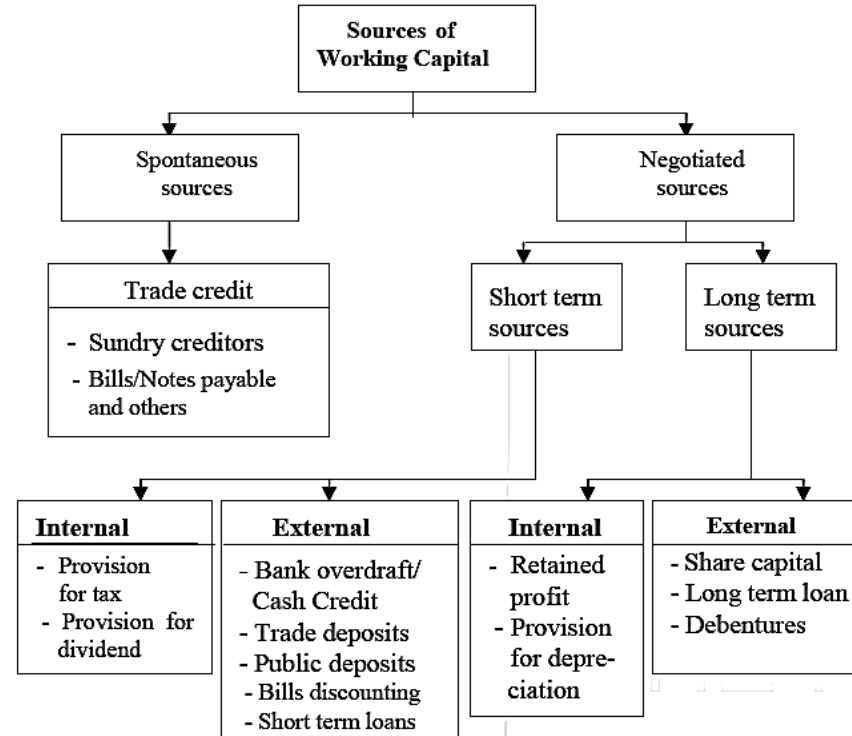
Size of Business

Change of
Technology

Length of
Operating or
Working Capital
Cycle

Firms credit
policy

Sources of Working Capital



Sources of Working Capital

- **Spontaneous Source of Finance**

- Finance which naturally arise in the course of business is known as spontaneous financing. Trade creditors, credit from employees, credit from suppliers of services, etc., are the examples of spontaneous financing.

- **Negotiated Financing**

- Financing which has to be negotiated with lenders, say commercial banks, a financial institution, general public is known as negotiated financing. This kind of financing may either be short-term in nature or long-term.

Sources of Working Capital

- **Trade Credit**

- Trade credit is a spontaneous source of finance which is normally extended to business organization depending on the custom of the trade and competition prevailing in the industry and relationship of the suppliers and buyers.



Sources of Working Capital

- **Invoice Discounting or Factoring**

- If a company makes sales to a number of customers on credit terms it will have to wait for two or even three months before its debtors pay what they owe.
- This means that the debtors must be financed by the company, and the idea of factoring is to passover to the finance of debtors from the selling company to a special factoring, finance company or Bank.
- The factoring company after reviewing the amount of the debts and the creditworthiness of the debtors, will pay the selling company, at the end of the month in which the sales were made, the amount it can expect to receive from the debtors.

Sources of Working Capital

- **Bills of Exchange**
 - A bill is defined as an unconditional order in writing, addressed by one person to another, signed by the person giving it, requiring the person to whom it is addressed to, to pay on demand, or at a fixed or determinable future time, a sum certain in money to or to the order of a specified person or to the bearer.

Sources of Working Capital

- **Funds Generated from Operations**

- Funds generated from operations, during an accounting period, increase working capital by an equivalent amount.
- The two main components of funds generated from operations are profit and depreciation.
- Working capital will increase along with the extent of funds generated from operations.

Sources of Working Capital

- **Deferred Tax Payments**

- Another source of short-term funds similar in character to trade credit is the credit supplied by the tax authorities.
- This is created by the interval that lapses between the earning of the profits by the company and the payment of the taxes due on them.

Sources of Working Capital

- **Accrued Expenses**

- Another source of spontaneous short-term financing is the accrued expenses that arise from the normal conduct of business.
- An accrued expense is an expense that has been incurred, but has not yet been paid.

Sources of Working Capital

- **Working Capital Finance from Banks**
 - Working capital is an essential requirement for any business activity.
 - Banks in India today constitute the major suppliers of working capital credit to any business activity.
 - Recently, however, some term lending financial institutions have also announced schemes for working capital financing.

Sources of Working Capital

- **Bank Overdrafts**

- Short-term borrowing of the kind made available principally by the clearing banks in the form of overdrafts is very flexible.
- When the borrowed funds are no longer required they can quickly and easily be repaid.
- It is also comparatively cheap. The banks will impose limits on the amount they can lend.

Sources of Working Capital

- **Line of Credit**

- Line of credit is a commitment by a bank to lend a certain amount of funds on demand specifying the maximum amount of unsecured credit the bank will permit the customer to borrow at any point of time.

- **Revolving Credit**

- The revolving credit facility will be given by the banker to the customer by giving certain amount of credit facility on a continuous basis. The borrower will not be allowed to exceed the limits sanctioned by the bank.

Sources of Working Capital

- **Bridge Loans**

- Bridge loans are available from the banks and financial institutions when the source and timing of the funds to be raised is known with certainty.
- When there is a time gap for access of funds, then for speeding up of or implementation of the projects, bridge loans will be provided.

Sources of Working Capital

- **Transaction Loans**

- These loans are provided by the Banker for short periods for a specific activity like financing for a civil contract work.
- When the customer receives payment, the transaction will be repaid by the customer.

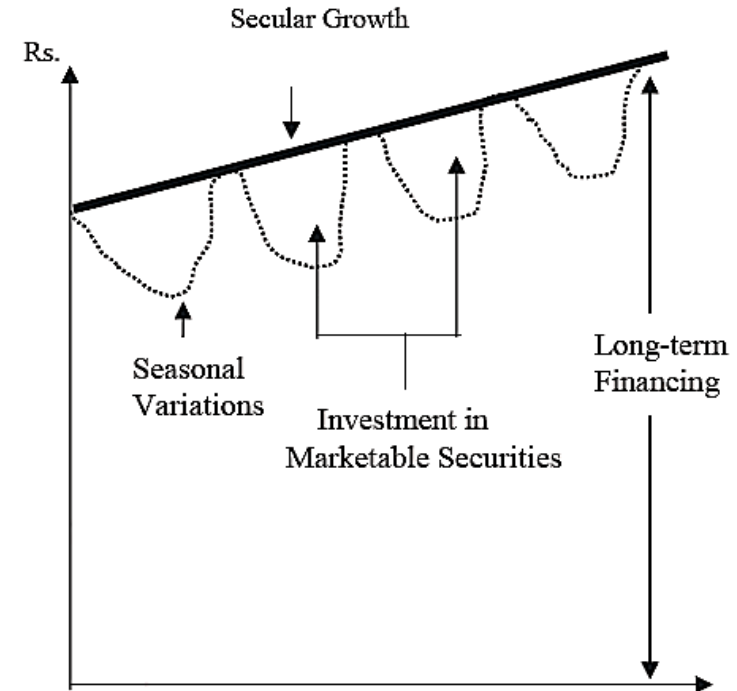
- **Public Deposits**

- Deposits from the public are one of the important sources of finance particularly for well established big companies with a huge capital base.

Strategies for Working Capital Management

- **Conservative Working Capital Strategy**

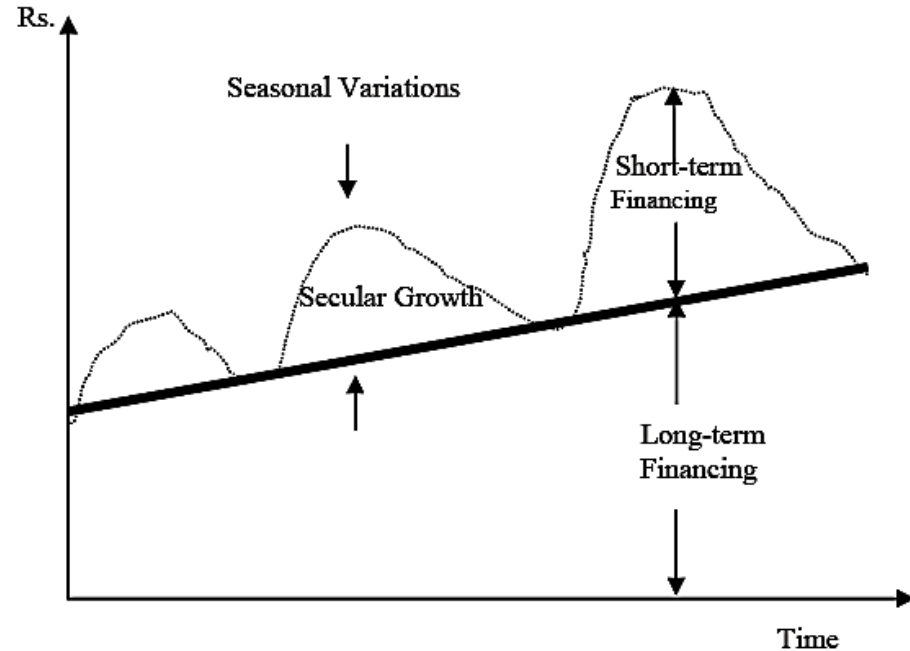
- A conservative strategy suggests the carrying high levels of current assets in relation to sales.
- Surplus current assets enable the firm to absorb sudden variations in sales, production plans, and procurement time without disrupting production plans. Additionally, the higher liquidity levels reduce the risk of insolvency.



Strategies for Working Capital Management

- **Aggressive Working Capital Strategy**

- Under this approach current assets are maintained just to meet the current liabilities without keeping any cushion for the variations in working capital needs.
- The core working capital is financed by long-term sources of capital, and seasonal variations are met through short-term borrowings.



Estimating Working Capital Requirement

- **Operating Cycle Method**

- Under this method, total operating expenses for a period are divided by the number of operating cycles in the relevant period to calculate the cash requirement for working capital.

- **Net Current Assets Forecasting Method**

- This is the most practical method of estimating working capital requirements. Under this method, the finance manager prepares a working capital forecast. In preparing this forecast, first of all, an estimate of all the current assets is made on a monthly basis.

Estimating Working Capital Requirement

- **Projected Balance Sheet Method**

- Under this method, estimates, of different assets (excluding cash) and liabilities are made taking into consideration the transactions in the ensuing period.
- Thereafter, a balance sheet is prepared based on these forecasts. Assets and liabilities are called 'Projected balance sheet'.

- **Adjusted Profit and Loss Method**

- In this method, estimated profit is calculated based on transactions of the ensuing period.
- Thereafter, increase or decrease in working capital is computed adjusting the estimated profit by cash inflows and cash outflows. It is like cash flow statement.

Estimating Working Capital Requirement

- **Cash Forecasting Method**

- In this method, estimate is made of cash receipts and payments in the ensuring period.
- The difference of these receipts and payments indicates deficiency or surplus of cash.
- The management formulates plans to procure the amount of deficit. This method, in a way, is a form of cash budget.

Important Topics

Operating Cycle Concepts

Factors Influencing Working
Capital Requirements

Sources of Working Capital

Strategies for Working Capital
Management

Summary



Financial decisions are based on certain considerations the main being the cash flows, cost and liquidity. Short-term financial decisions or working capital decisions are different with regard to quantum and frequency of cash flows.

There are two concepts of working capital i.e. Gross Working Capital and Net Working Capital.

Working capital requirement is influenced by a variety of factors, the main among them is nature and size of business.

There are various methods of calculating working capital requirement. In some, the base figures are obtained from financial statements.

*Thank
You*



Accountancy and Financial Management

Block-4_Unit-13

Cash and Treasury Management

Topics to be Covered

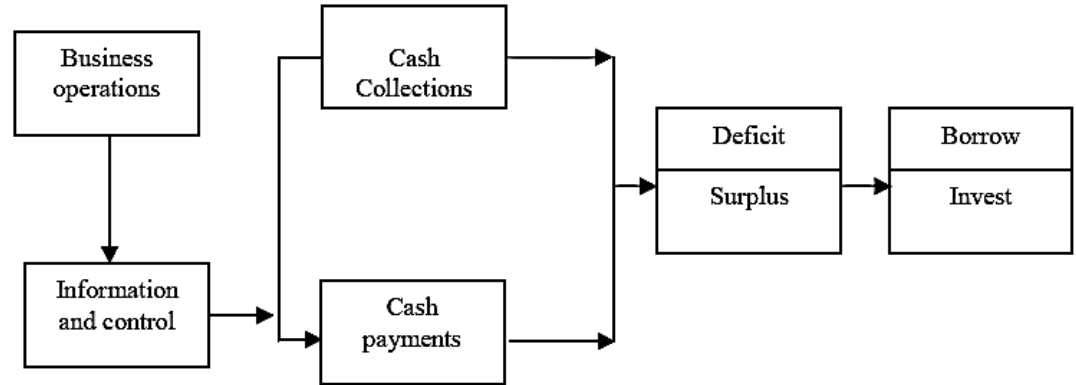
- Introduction
- Facets of Cash Management
- Methods of Cash Flow Budgeting
- Investing Surplus Cash
- Cash Collection and Disbursements
- Treasury Management
- Important Topics
- Summary

Introduction

- In corporate, cash management is also known as treasury management.
- Cash is an important current asset for the operations of business. Cash is the basic input that keeps business running continuously and smoothly.
- It is a usual practice to include near cash items such as marketable securities and bank term deposits in cash.
- The basic characteristics of near cash items are that, they can be quickly and easily converted into cash without any transaction cost or negligible transaction cost.

Facets of Cash Management

- **Cash management is concerned with the management of:**
 - Cash inflows and outflows of the firm
 - Cash flows within the firm
 - Cash balances (financing deficit and investing surplus)



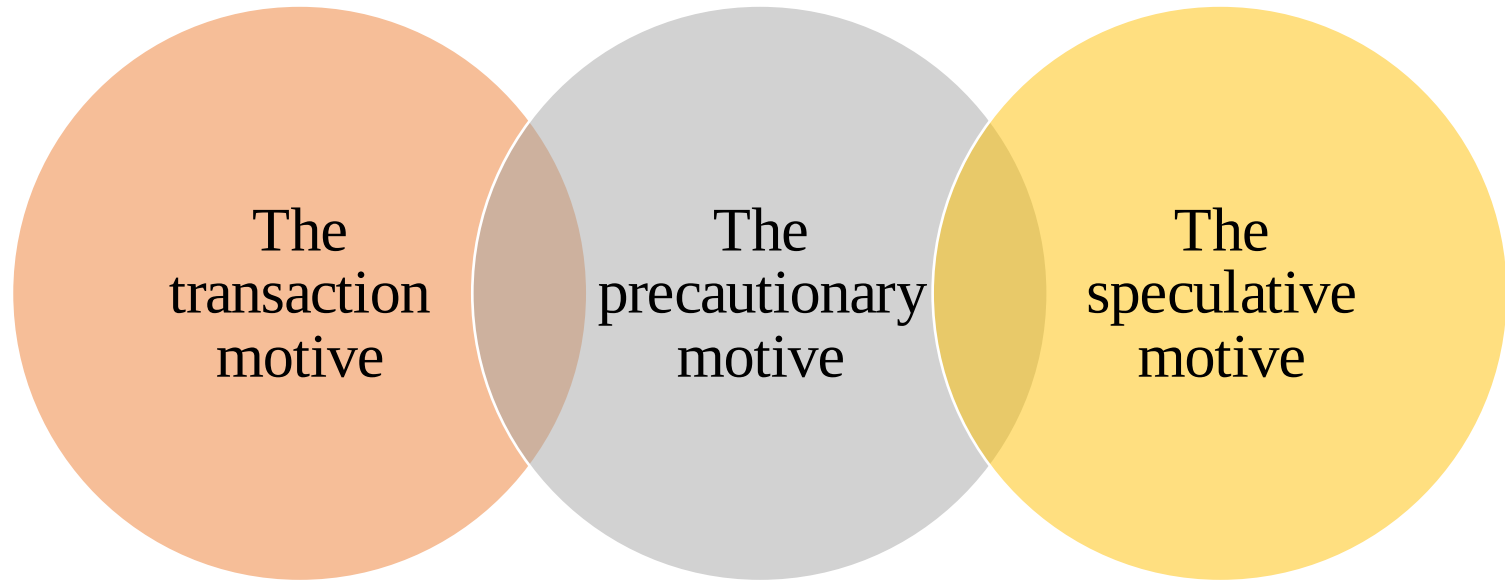
Facets of Cash Management

- **Strategies for Cash Management**
 - Cash planning
 - Managing cash flows
 - Optimum cash level
 - Investing surplus cash and financing deficit



Facets of Cash Management

- **Motives for Holding Cash**



Facets of Cash Management

- **Transaction Motive**

- The transaction motive requires a firm to hold cash to conduct its business in the ordinary course and pay for operating activities like purchases, wages and salaries, other operating expenses, taxes, dividends, payments for utilities etc.
- The basic reason for holding cash is non-synchronization between cash inflows and cash outflows.

Facets of Cash Management

- **Precautionary Motive**

- The precautionary motive is the need to hold cash to meet uncertainties and emergencies.
- The quantum of cash held for precautionary objective is influenced by the degree of predictability of cash flows.
- In case cash flows can be accurately estimated the cash held for precautionary motive would be fairly low.

Facets of Cash Management

- **Speculative Motive**

- The speculative motive refers to holding of cash for investing in profit making opportunities as and when they arise.
- These kinds of opportunities are usually prevalent in businesses where the prices are volatile and sensitive to changes in the demand and supply conditions.

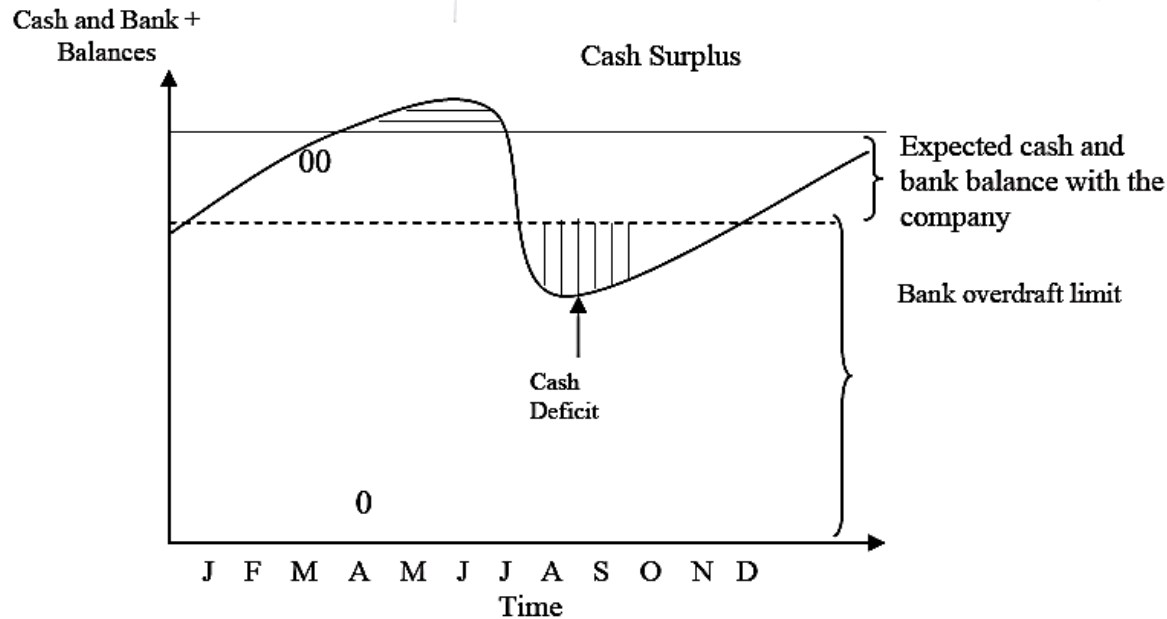
Facets of Cash Management

- **Cash Planning**

- Firms require cash to invest in inventory, receivables, fixed assets and to make payments for operating expenses, in order to increase sales and earnings and ensure the smooth running of business.
- In the absence of proper planning the firm may face two types of situations
 - Cash deficit
 - Cash Surplus

Facets of Cash Management

- Cash Planning



Facets of Cash Management

- **Determining Optimum Cash Balance**
 - Cash is a non-earning asset; therefore, cash should be maintained at the minimum level. The cost of holding cash is the loss of interest/return had that cash been invested profitably.
 - The firm should maintain optimum - just enough neither too much nor too little cash balance.
 - There are some models used to calculate the optimum cash balance that a firm ought to maintain. But the most widely known model is Baumol's model.
 - It is chiefly used when cash flows are predictable.

Facets of Cash Management

- **Optimum Cash Balance: Baumol's Model**

- The Baumol Model (1952) considers cash management problem as similar to inventory management problem. As such the firm attempts to minimise the total cost, which is the sum of cost of holding cash and the transaction cost (cost of converting marketable securities to cash). The Baumol model is based on the following assumptions:
 - the firm is able to forecast its cash need with certainty,
 - the opportunity cost of holding cash is known and it does not change over time, and
 - the transaction cost is constant.

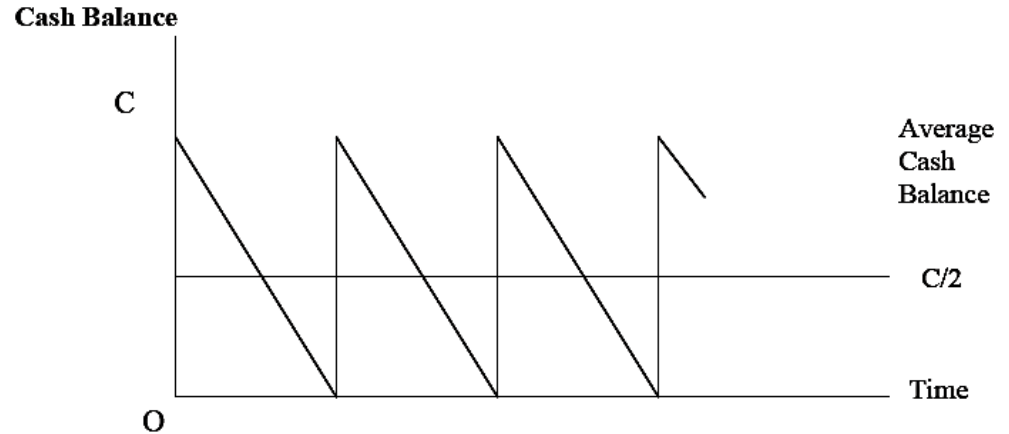
Facets of Cash Management

- **Optimum Cash Balance: Baumol's Model**
 - Holding Cost = $I (C/2)$

$$TC = I (C/2) + B (T/C)$$

Holding
cost

Transaction
cost



Methods of Cash Flow Budgeting

- Cash budget is a detailed budget of income and cash expenditure incorporating both revenue and capital items.
- The cash budget shows cash flows arising from the operational budgets and the profit and asset structure. A cash budget can be prepared by considering all the expected receipts and payments for budget period.
- All the cash inflow and outflow of all functional budgets including capital expenditure budgets are considered.
- Accruals and adjustments in accounts will not affect the cash flow budget.

Investing Surplus Cash

- **Types of Short Term Investment Opportunities**

Treasury Bills

Commercial Papers

Certificate of Deposits

Bank Deposits

Inter-corporate Deposits

Money Market Mutual Funds

Cash Collection and Disbursements

- Once the cash budget has been prepared and appropriate net cash flows established the finance manager should ensure that there does not exist a significant deviation between projected and actual cash flows.
- The finance manager should expedite cash collection and control cash disbursement. There are two types of floats, which would require the attention of finance managers.

Cash Collection and Disbursements

- **Collection Float**

- Collection float refers to the gap between the times, payment is made by the customer/debtor and the time when funds are available for use in the company's bank account.
- In simple words it is the amount tied up in cheques and drafts that have been sent by the customers, but has not yet been converted into cash.

Cash Collection and Disbursements

- **Collection Float**

- To reduce this float companies can use various techniques, which are as follows:
 - Concentration Banking
 - Lock Box System
 - Zero Balance Account
 - Electronic Fund Transfer

Cash Collection and Disbursements

- **Payment Float**

- Cheques issued but not paid by the bank at any particular time is called payment float.
- Companies can make use of payment float, by issuing cheques, even if it means as per books of account an overdraft beyond permissible bank limits.
- The company should be very careful in playing this float in view of stringent provisions regarding the dishonoring of cheques, loss of reputation etc.

Treasury Management

Treasury management is defined as “the corporate handling of all financial matters, the generation of external and internal funds for business, the management of currencies and cash flows and the complex strategies, policies and procedures of corporate finance”.

Treasury Management

- By optimizing the treasury operations and related risk management process, the companies can reap significant benefits such as:
 - Improve cash flows, enhance return or reduce interest expense.
 - Put money on the table.
 - Reduce excessive and unnecessary costs.
 - Introduce more effective technologies.
 - Enhance the utilisation of near cash assets.
 - Better control and mitigate operational and financial risks.
 - Streamline banking structure.
 - Strengthen controls and procedures.

Treasury Management

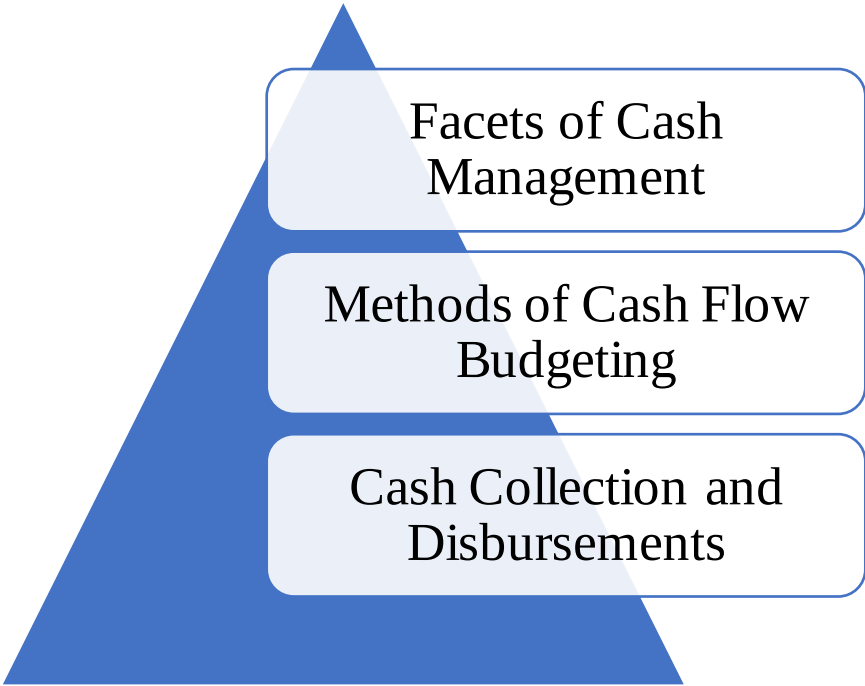
- **Treasury Risk Management**
 - Cash Flow-Receipts and Disbursements
 - Bank and Financial Institution Relations
 - Cash Management Controls
 - Cash Forecasting and Information Reporting
 - International Cash Management
 - FX and Interest Rate Management

Treasury Management

- **Functions of the Treasury Department**
 - Setting up corporate financial objectives
 - Liquidity Management
 - Funding Management
 - Currency Management
 - Corporate Finance



Important Topics



Facets of Cash
Management

Methods of Cash Flow
Budgeting

Cash Collection and
Disbursements

Summary

In this session, we have discussed the motives for holding cash balances like transaction motive, precautionary motive and speculative motive.

Cash planning and forecasting is an important component of cash management and the principal tool for effective cash management is cash budget.

In the last section, we have discussed the various functions of the treasury department like raising of funds, managing interest rate and foreign exchange exposure, and maintenance of liquidity and how an effective and efficient treasury department will bring down the financial cost and mitigate risks.

*Thank
You*



Accountancy and Financial Management

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Receivables Management

Topics to be Covered

- Introduction
- Terms of Payment
- Credit Policy Variables
- Credit Evaluation
- Monitoring Receivables
- Factoring
- Non-Performing Assets
- Important Topics
- Summary

Introduction

- The receivable (debtors) arise due to credit sales, which is undertaken in order to encourage customers to purchase goods or services.
- Accounts receivable use funds, and tying up funds in these investments has an associated cost which, must be considered along with the benefits from enhanced sales of goods and services.
- In this session, we are going to discuss the various issues involved in management decisions of extending credit (i.e., accounts receivable). We shall also discuss the issues pertaining to Non- Performing Assets.

Terms of Payment

- **Cash Terms**

- When goods are sold on cash terms, the sales consideration (payment) is received either before goods are sold (advance payment) or when the goods are delivered (cash on delivery)

Cash term generally exist under the following conditions:

- when goods are made to order
- when the buyer is perceived to be less credit worthy
- the seller is in strong bargaining position

Terms of Payment

- **Open Account**

- A credit sale is generally on open account which implies that the seller ships the goods to the buyer and thereafter sends the bill (invoice).

- **Consignment**

- Under this type of terms, the goods are merely shipped to the consignee; they are not sold to the consignee. The consignee then sells these goods to the third party.

Terms of Payment

- **Negotiable Instruments / Hundi**

- When the goods are sold on credit either through an open account or through consignment, a formal legal evidence of the buyers obligation is not created. In order to overcome this, a more secure agreement usually in the form of a draft is sought.

- **Letter of Credit**

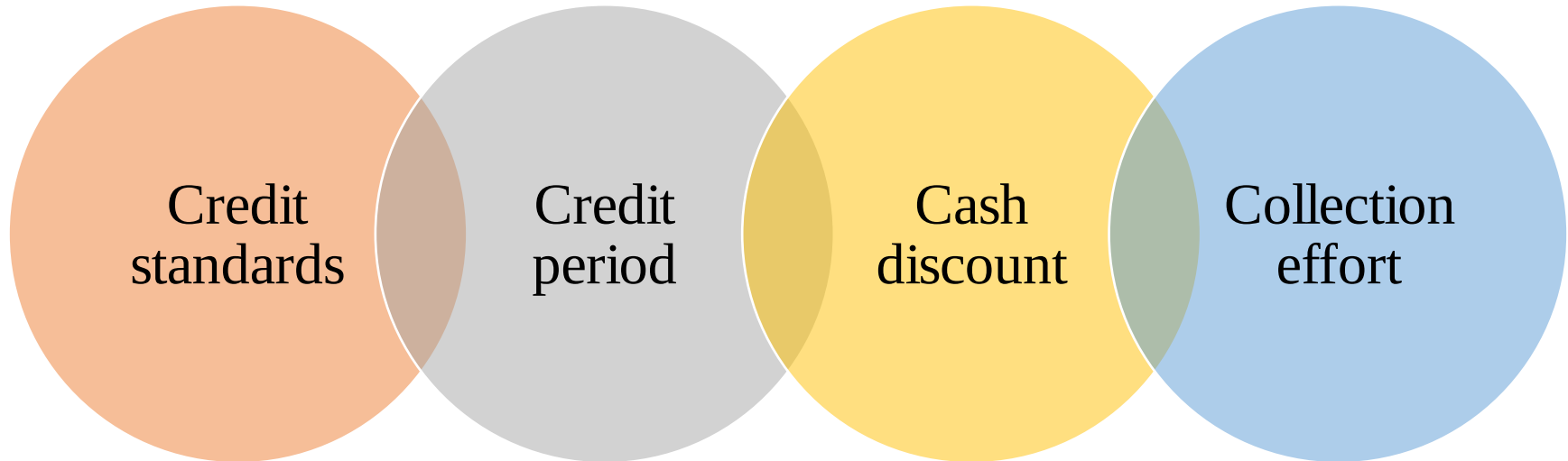
- The Letter of Credit can be defined as an instrument issued by a bank in favour of the seller whereby the issuing bank undertakes to pay the beneficiary a certain sum against delivery of specific documents within a stated period of time.

Credit Policy Variables

- The main objective of the credit policy is to stimulate sales as well as control expenses and bad debts associated with granting credit.
- **The main components of a credit policy are as follows:**
 - Credit period
 - Credit rating system
 - Cash discount policy
 - Collection policy
 - Accounting system and management information system
 - Policy for dealing with bad and doubtful debts
 - Credit insurance cover

Credit Policy Variables

- If we regroup the above components they can be classified under the four dimensions of a firm's credit policy which are as follows:

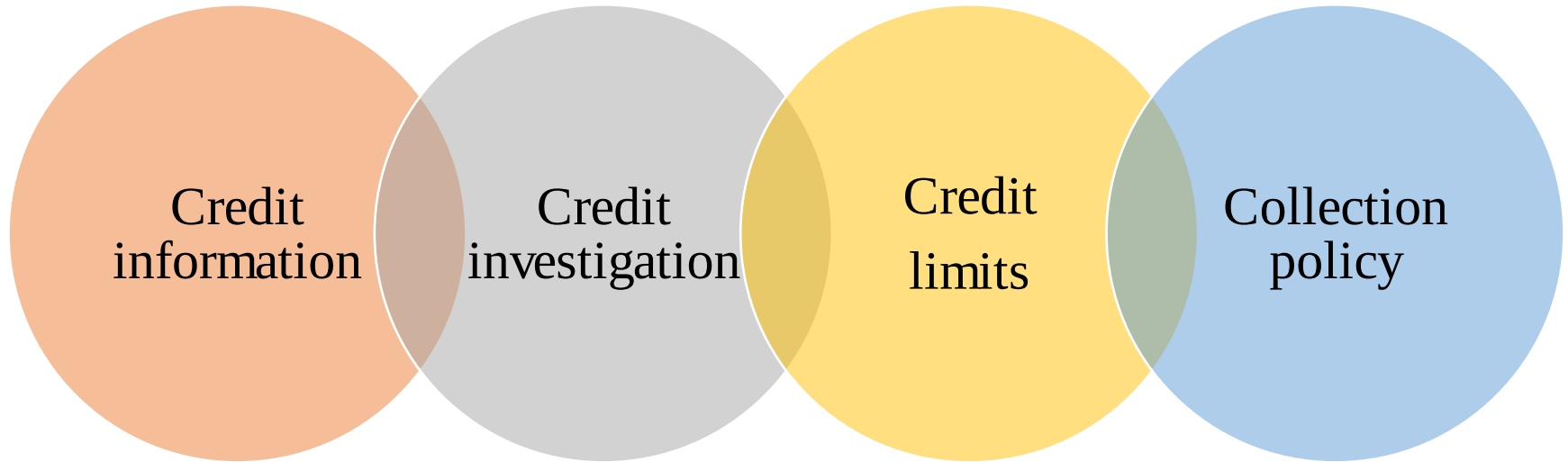


Credit Evaluation

- One of the important elements of credit management is the assessment of the credit risk of the customer.
- **While assessing risk two type of errors occur which are as follows:**
 - Type 1 error: Good customers are misclassified as poor credit risk
 - Type 2 error: Bad customers are misclassified as good credit risk.

Credit Evaluation

- The credit evaluation process involves the following steps.



Monitoring Receivables

- A firm needs to continuously monitor and control its receivables to ensure that the dues are paid on the due date and no dues remain outstanding for a long period of time.
- **The following two methods are used to evaluate the management of receivables:**

Average
collection period

Aging schedule

Monitoring Receivables

- **Average collection period (ACP)**

- Average collection period is defined as

$$ACP = \frac{\text{Debtors} \times 365}{\text{Credit Sales}}$$

- **Two major drawbacks of this method are:**

- It fails to pin point the receivables which are overdue.
- It is susceptible to sales variation.

Monitoring Receivables

- **Ageing Schedule**

- The ageing schedule (AS) classifies outstanding accounts receivable at a given point of time into different age brackets.

Age Groups (in days)	Outstanding (Rs.)	Percentage
0-30	45,000	37.50
31-60	15,000	12.50
61-90	10,000	12.50
91-120	30,000	25.0
Over 120	1,20,000	100.00

Factoring

- Factoring is financial as well as management support to a firm. Through factoring non-productive, inactive assets (Book debts or receivables) are assigned to a factor which may be a bank or a financial institution or any other organisation which in turn collects receivables from the debtors for a commission.
- The factoring can be defined as “a business involving a continuing legal relationship between the factor and a business concern (the client) selling goods and services to trade customers (the customers) whereby the factor purchases the clients accounts receivable and in relation thereto, controls the credit extended to customers and administers the sales ledger”.

Factoring

- **Factoring Services**

- Sales Ledger administration and credit management
- Credit collection and protection against default and bad debt losses
- Financial accommodation against the assigned book debts (receivables)

Factoring

- In addition to these services the following services are also being provided by the factor:
 - Providing information about prospective buyers
 - Providing financial counselling
 - Assistance in liquidity management and sickness prevention
 - Financing acquisition of inventories
 - Providing assistance for opening letter of credit for the client.

Factoring

- **Types of Factoring**
 - **Full Service Non Recourse**
 - Under this method the book debts are purchased by the factor assuming 100 percent credit risk.
 - In case of default by the debtor the whole risk is borne by the factor.
 - In addition to this the factor may also advance 80-90% of the books debts immediately to the client.

Factoring

- **Types of Factoring**
 - **Full Service Recourse Factoring**
 - In this type of factoring the client has to bear the risk of default made by the debtors.
 - In case the factor had advanced funds against book debts on which the customer subsequently defaults the client will have to refund the money.
 - This type of factoring is more a method of short-term financing rather than pure credit management and protection service.

Factoring

- **Types of Factoring**
 - **Advance Factoring and Maturity Factoring**
 - In both non-recourse and recourse factoring if the factor advances cash against book debts to the client immediately on assignment of book debts it is known as advanced factoring.
 - In maturity factoring the factor makes payment to the client on maturity of book debts i.e., when they are due.

Factoring

- **Types of Factoring**
 - **Bulk Agency Factoring**
 - This type of factoring is basically used as a method of financing book debts.
 - Under this type of factoring the client continues to administer credit and maintain sales ledger.
 - The factor finances the book debts against bulk either on recourse or without recourse.

Factoring

- **Types of Factoring**
 - **Non-Notification Factoring**
 - In this type of factoring customers are not informed about the factoring agreement.
 - The factor performs all the usual functions without disclosing to customer that they own the book debts.

Factoring

- **Costs and Benefits of Factoring**
 - There are two types of costs involved in factoring:
 - The factoring commission or service fee, and
 - The interest on advances granted by the factor to the firm.

Non-Performing Assets

- Non Performing Assets (NPAs) refers to those loans and advances that are in default or in arrears i.e. principal and interest payments are late or missed.
- As per the RBI, an asset becomes non-performing when it stops to generate income for the bank.
- A non performing asset (NPA) is a loan or advance for which the principal or interest payment remained overdue for a period of 90 days.
- NPAs can be classified as a substandard asset, doubtful asset, or loss asset, based on the length of time overdue and probability of repayment.

Non-Performing Assets

- **Provisions for NPAs**

- Provisioning means an amount that the banks set aside from their profits in a particular quarter for non-performing assets. Such assets that may turn in to losses in the future.
- Provisioning is done according to which category the asset belongs to.
- Banks are required to make their NPAs number public to the RBI as well from time to time.

Non-Performing Assets

- **Provisions for NPAs**
 - **There are two types of NPAs.**
 - **GNPA** stands for gross non performing assets. GNPA is absolute amount. It tells you the total value of gross non performing assets for the bank in a particular quarter or financial year.
 - **NNPA** stands for net non performing assets. NNPA subtracts the provision made by the bank from gross NPA. Therefore NNPA gives you the exact value of the non performing assets after the bank has made specific provisions for it.

Non-Performing Assets

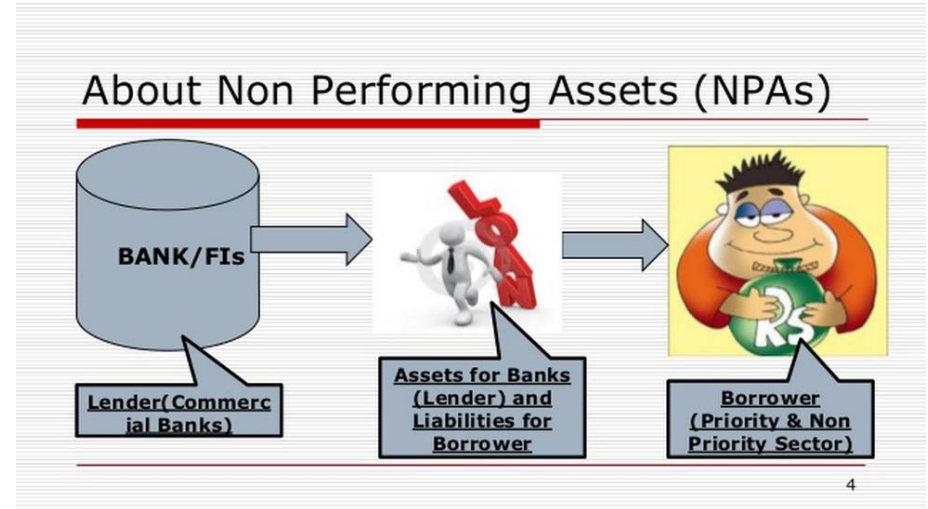
- **Reasons for growing NPAs**

- **Internal Factors**

- Funds borrowed for particular purpose are not utilized for the same.
 - Defective lending process
 - Inappropriate technology
 - Improper SWOT analysis
 - Poor credit appraisal system
 - Managerial deficiencies
 - Absence of regular follow up
 - Incomplete and faulty documentation

Non-Performing Assets

- **Reasons for growing NPAs**
 - **External Factors**
 - Ineffective recovery tribunal
 - Willful Defaults
 - Natural calamities
 - Lack of demand



Non-Performing Assets

- **Suggestions to reduce NPAs**
 - Proper monitoring
 - Strong legal actions against defaulters
 - Political intervention need to be removed
 - Strong follow-up supervision



Non-Performing Assets

- **NPA's Recovery Mechanism**

- **Lok Adalat**

- It established by the government itself, it remains as one of the preferred “alternative dispute redressal mechanisms”.
- A physical platform where pending legal cases of the court of law or at pre-litigation stage get amicably settled.
- Assigned with statutory grade, the Lok Adalats which enables their decisions or verdicts equated with court decrees given by the civil courts.

Non-Performing Assets

- **NPAs Recovery Mechanism**
 - **Debt Recovery Tribunal (DRT)**
 - It was set up with an objective of speedy redressal pertaining to the matters of Banks on NPAs, the Debt Recovery Tribunal aims at debt recovery by banks and other financial institutions.
 - This tribunal was formed by virtue of the Recovery of Debts Due to Banks and Financial Institutions Act, 1993 (RDDBFI Act) and facilitates fast resolution between financiers and debtors by filing Original Applications (OAs) in DRTs.

Non-Performing Assets

- **NPAs Recovery Mechanism**
 - **SARFAESI Act**
 - It is an abbreviated form of the “Securitization and Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002” got created because of the government’s efforts towards reforming the banking systems and supportive legal structures for a performing debt recovery structure involving defaulting loan recoveries support to banks and relieve them of NPA stresses.

Non-Performing Assets

- **NPAs Recovery Mechanism**

- **Bankruptcy Code**

- A very important move by the Govt. of India; the introduction of this “Insolvency and Bankruptcy (IBC) Code Bill” in 2015, came into force in 2016.
 - IBC provisioned for “Insolvency and Bankruptcy Board of India”, an entity for steep enactment of the IBC code through legal amendments pertaining to reorganization and insolvency resolution of business entities, partnership firms and single entities in a time framed way for asset worth maximization of defaulting entities (individual or firm) by resorting to push entrepreneurship, credit availability and re-generate interest of investors.

Important Topics

Terms of
Payment

Monitoring
Receivables

Factoring

Summary

Trade credit creates debtors or accounts receivables. Trade credit is used as a marketing tool to gain competitive advantage over trade rivals. The main variables of credit policy are credit period and cash discount.

Factoring is basically used to improve liquidity and for the timely collection of debts. Factors charge interest on advances and commission for other services.

A non performing asset (NPA) is a loan or advance for which the principal or interest payment remained overdue for a period of 90 days.

In order to reduce the NPAs, following Suggestion have been given Proper monitoring, Strong legal actions against defaulters, Political intervention need to be removed, and Strong follow-up supervision.

*Thank
You*



Accountancy and Financial Management

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Inventory Management

Topics to be Covered

- Introduction
- Reasons for Holding Inventory
- Objectives of Inventory Management
- Techniques of Inventory Control
- Important Topics
- Summary



Introduction

- Inventory management helps companies identify which and how much stock to order at what time. It tracks inventory from purchase to the sale of goods.
- The practice identifies and responds to trends to ensure there's always enough stock to fulfill customer orders and proper warning of a shortage.
- In case of manufacturing firms, inventories represents largest asset category, next only to plant and machinery. The proportion of inventory to total assets ranges between 15 to 30 percent.
- Inventory management is not an isolated activity; it requires coordination among the production, purchasing and marketing departments.
- Since these entire decision ends up in tying of resources the financial manager has the responsibility to ensure that the inventories are properly monitored and controlled.

Reasons for Holding Inventory

- Inventory of raw material are held to ensure that the production process is not disrupted due to shortage of raw material.
- Work in process (WIP) inventories arises in the process of production. These type of inventories are also referred to as “Process Inventories”.
- Finished goods inventories are held to meet customers requirement promptly.
- Inventories are also held, so that the order cost is reduced.
- An inventory of spare items which are required for the smooth running of business is also kept.
- Inventories which are held for conducting normal day to day business are known as transaction inventory.

Objectives of Inventory Management

- **Operating Objectives**

To ensure continuous supply of materials

To ensure uninterrupted production

To minimize risks and losses

To ensure better customer service

To avoiding stock out danger

Objectives of Inventory Management

- **Financial Objectives**

To minimize investment

To minimize inventory related costs

To ensure economy in purchasing

Techniques of Inventory Control

- **Traditional Techniques**
 - **Inventory Control Ratios**

$$\begin{aligned}\text{Overall Inventory Turnover Ratio} &= \frac{\text{Cost of goods sold}}{\text{Average total inventories at cost}} \\ \text{Raw Material Inventory Turnover Ratio} &= \frac{\text{Annual consumption of raw material}}{\text{Average raw material inventory}} \\ \text{Work-in-process Inventory Turnover Ratio} &= \frac{\text{Cost of manufacture}}{\text{Average work in process inventory at cost}}\end{aligned}$$

Techniques of Inventory Control

- Traditional Techniques
 - Inventory Control Ratios

$$\text{Finished Goods Inventory Turnover ratio} = \frac{\text{Cost of goods sold}}{\text{Average inventory of finished goods at cost}}$$

$$\text{Average Age of Raw Materials in Inventory} = \frac{\text{Average Raw Material Inventory at cost}}{\text{Average Daily Purchase of Raw Materials}}$$

$$\text{Average Age of Finished Goods Inventory} = \frac{\text{Average finished goods inventory at Cost}}{\text{Average cost of goods manufactured per day}}$$

$$\text{Out-of-stock Index} = \frac{\text{Number of times out of stock}}{\text{Number of times requisitioned}}$$

$$\text{Spare Parts Index} = \frac{\text{Value of Spare Parts Inventory}}{\text{Value of Capital Equipment}}$$

Techniques of Inventory Control

- **Traditional Techniques**

- **Two Bin Systems**

- Under this system all inventory items are stored in two separate bins (two bins for each type of inventory items).
 - In the first bin a sufficient supply of inventory is stored which is going to be used over a designated period of time.
 - In the second bin a safety stock is maintained which is going to be used during lead times.

Techniques of Inventory Control

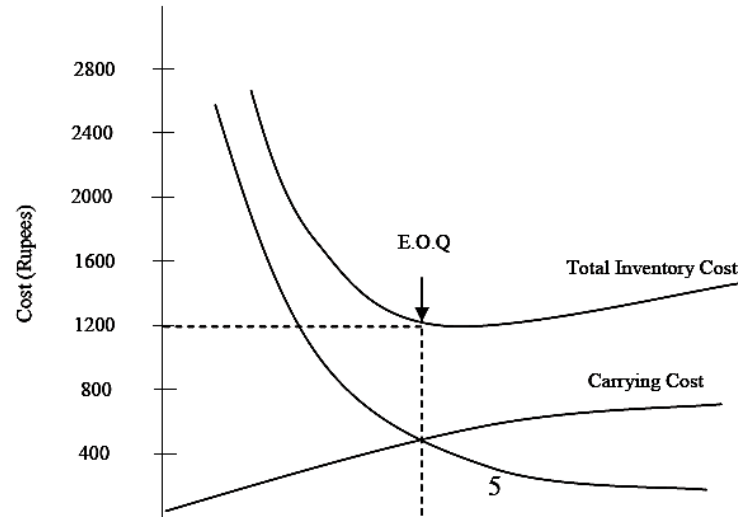
- **Traditional Techniques**
 - **Perpetual Inventory System**
 - In this type of system store balances are computed and recorded after each and every issue and receipt.
 - The main focus of this system is to make available details about the quantity and value of stock at all points of time.

Techniques of Inventory Control

- **Traditional Techniques**
 - **Periodic Inventory System**
 - Under this system all stock levels are reviewed after a fixed time interval, depending upon the importance of the item. Imported items may require a shorter review cycle, whereas slow moving items may require a longer review cycle.

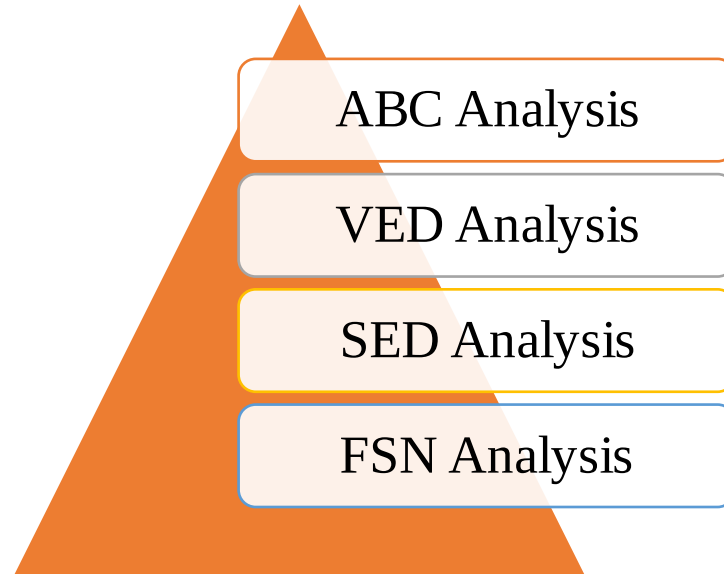
Techniques of Inventory Control

- **Modern Techniques**
 - **Economic Order Quantity (EOQ) Graphical Methods**

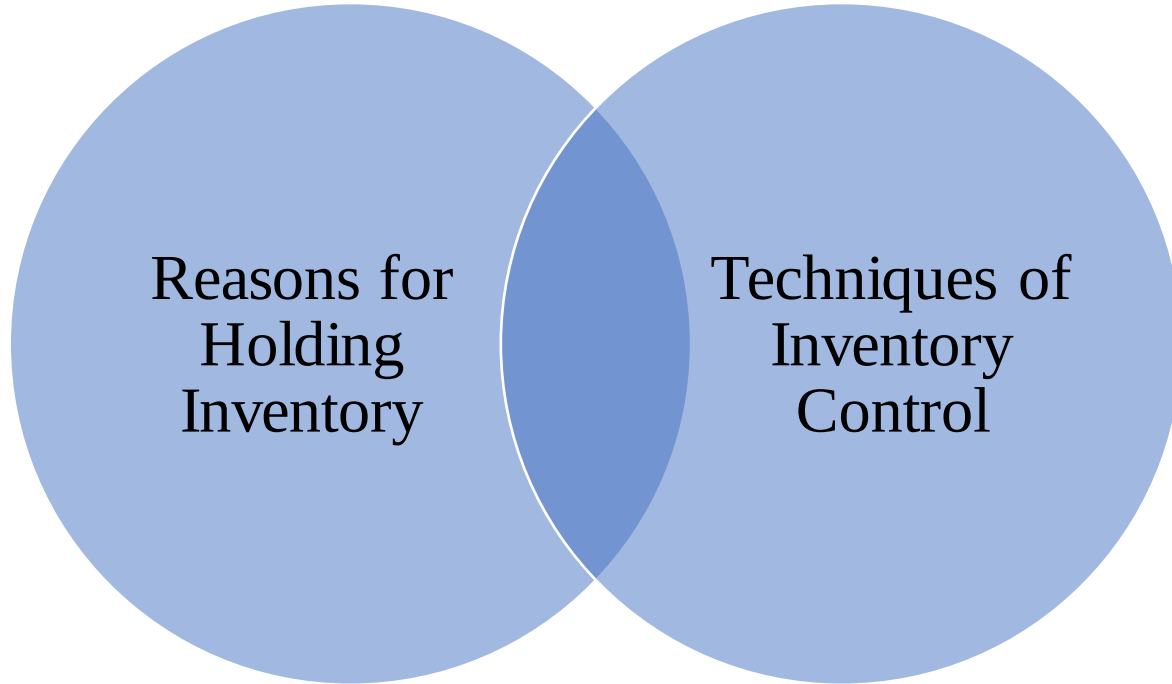


Techniques of Inventory Control

- **Modern Techniques**
 - **Selective Inventory Control (Classification)**



Important Topics



Summary

- Inventories constitute a significant portion of the current assets ranging from 40 to 60% for manufacturing companies.
- The manufacturing companies hold investments in the form of raw material, work in process and finished goods.
- There are two types of costs associated with inventory maintenance which are Ordering Costs and Carrying Costs.
- The Economic Order Quantity (EOQ) is that order quantity which minimises the sum of ordering and carrying cost.
- There are many inventory control systems, the most widely used one is ABC and FSN System.

*Thank
You*